

PARLIAMENT OF THE DEMOCRATIC SOCIALIST REPUBLIC OF SRI LANKA

INLAND REVENUE (AMENDMENT) ACT, NO. 100 OF 2027

[Certified on 25th March, 2027 — Applicable for Year of Assessment 2027/28]

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LANKA**

AN ACT to amend the Inland Revenue Act, No. 24 of 2017 to provide for revised progressive personal income tax rate schedules, reformulate individual relief thresholds, introduce dedicated statutory reliefs for childcare support, professional skills development, and residential electric vehicle charging infrastructure, and prescribe a special progressive tax ladder for retirement and terminal benefits.

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BE it enacted by the Parliament of the Democratic Socialist Republic of Sri Lanka as follows:—

PART I: PRELIMINARY AND IMPOSITION OF INCOME TAX

Short title and date of operation.

1. (1) This Act may be cited as the Inland Revenue (Amendment) Act, No. 100 of 2027.
- (2) This Act shall come into operation on the first day of April, 2027, and shall apply in respect of the year of assessment commencing on April 1, 2027 and subsequent years of assessment, unless expressly provided otherwise.
- (3) The Inland Revenue Act, No. 24 of 2017 is in this Act referred to as the “principal enactment”.

Charging provision.

2. (1) Income tax shall be payable for each year of assessment by—
 - (a) a person who has taxable income for that year; or
 - (b) a person who receives a final withholding payment during that year.
- (2) The amount of income tax payable by a person for any year of assessment shall be the total of the amounts payable under subsection (1).
- (3) The income tax payable by a person under paragraph (a) of subsection (1) shall be calculated by applying the relevant rates of income tax set out in the First Schedule to this Act to that person’s taxable income, deducting any foreign tax credit properly claimed and allowed under section 80, and deducting any other tax credits granted or allowed to the person for the year under this Act.
- (4) The income tax payable by a person under paragraph (b) of subsection (1) shall be calculated by applying the relevant rate set out in the First Schedule to each final withholding payment.

Taxable income.

3. (1) Subject to subsection (2), the taxable income of a person for a year of assessment shall be equal to the aggregate of the person’s assessable income for the year from each employment, business, investment, and other source.
- (2) In arriving at the taxable income of a resident or non-resident individual for a year of assessment, qualifying payments and individual reliefs for that year under section 52 and Part VI A shall be deducted.
- (3) The taxable income of each person and the assessable income from each separate source shall be determined and accounted for separately in accordance with the provisions of this Act.

Assessable income.

4. (1) The assessable income of a person for a year of assessment from employment, business, investment, or other source shall be equal to—

(a) in the case of a resident person, the person's worldwide income from employment, business, investment, or other source for that year, wherever the source arises; and

(b) in the case of a non-resident person, the person's income from the employment, business, investment, or other source for that year, to the extent that the income arises in or is derived from a source in Sri Lanka.

(2) Assessable income shall be determined after deducting all allowable expenses, capital allowances, and qualifying deductions expressly permitted by Division IV of Chapter II.

Employment income.

5. (1) An individual's income from an employment for a year of assessment shall be the individual's gains and profits from that employment for that year of assessment.

(2) In calculating an individual's gains and profits from an employment, there shall be included all salaries, wages, leave pay, overtime, fees, commissions, bonuses, gratuities, personal allowances (including cost of living, subsistence, rent, entertainment, or travel allowance), reimbursements of personal expenses, and the fair market value of benefits in kind received or derived by virtue of the employment.

(3) There shall be excluded from employment income any exempt amounts, genuine reimbursements of expenses incurred wholly and exclusively on behalf of the employer's business, and non-discriminatory health and medical benefits available to all full-time employees on equal terms.

Business income.

6. (1) A person's income from a business for a year of assessment shall be the person's gains and profits from conducting the business for the year.

(2) In calculating gains and profits from conducting a business, there shall be included service fees, consideration received in respect of trading stock, gains from the realisation of business capital assets and depreciable assets, gifts received in connection with the business, and amounts derived that are effectively connected with the business.

(3) There shall be excluded exempt amounts and final withholding payments, as well as amounts included in calculating employment income.

Investment income.

7. (1) A person's income from an investment for a year of assessment shall be the person's gains and profits from that investment for that year.

(2) In calculating investment income, there shall be included dividends, interest, discounts, charges, annuities, natural resource payments, rents, premiums, royalties, gains from the realisation of investment assets, and lottery or betting winnings.

(3) There shall be excluded exempt amounts, final withholding payments, and amounts included in calculating employment or business income.

Other income.

- 8.** (1) A person's income from other sources for a year of assessment shall be that person's gains and profits from any source whatsoever for the year, not including profits of a casual and non-recurring nature.
- (2) In calculating income from other sources, there shall be excluded exempt amounts, final withholding payments, and amounts included under employment, business, or investment income.

Exempt amounts.

- 9.** (1) The amounts referred to in the Third Schedule to this Act shall be exempt from the payment of income tax.
- (2) Notwithstanding any law to the contrary, an exemption of any person or amount from tax imposed by this Act shall not be granted, and an agreement that affects or purports to affect the application of this Act shall not be entered into, except as expressly provided for in this Act.
- (3) Subsection (2) shall not apply to an express provision in another primary statute or an international agreement that is in force on the date of commencement of this Act.

General principles of deduction.

- 10.** (1) No deduction shall be made in calculating a person's income from employment.
- (2) The following deductions shall not be allowed in calculating a person's income from business or investment

—

- (a) domestic or private expenditure incurred by the individual;
- (b) income tax, capital gains tax, or penalty payable under this Act;
- (c) fines, interest, and penalties payable to any government or statutory authority for breach of written law;
- (d) expenditure incurred in deriving exempt amounts or final withholding payments;
- (e) transfers to reserves, provisions for future contingent liabilities, or unrealised losses; and
- (f) outlays for personal entertainment, recreational hospitality, or domestic travel.

- (3) Where a person is required to withhold tax under Division II of Chapter VIII from a payment, no deduction for that payment shall be allowed until the tax withheld has been duly remitted to the Commissioner-General.

Main deduction for business and investment expenses.

- 11.** (1) In calculating a person's income from a business or investment for a year of assessment, expenses to the extent they are incurred during the year by the person in the production of income from that business or investment shall be deducted.
- (2) No deduction shall be allowed under subsection (1) for an expense of a capital nature, except as expressly permitted by section 14, 15, or 16, or the Second or Fourth Schedule.
- (3) In this section, 'expense of a capital nature' includes any expenditure that secures an enduring benefit or asset capable of lasting longer than twelve months.

Interest expense.

12. (1) For the purposes of section 11, interest incurred by a person during a year of assessment under a debt obligation shall be deemed to be incurred in the production of income to the extent that the borrowed money was used during the year in the production of income or to acquire an asset employed in the business.
- (2) In any other case, interest shall be deductible only where the debt obligation was incurred directly in the production of assessable income.

Allowance for trading stock.

13. (1) In calculating a person's income from a business for a year of assessment, there shall be deducted an allowance for trading stock calculated as opening value plus purchases and production costs incurred during the year less closing value.
- (2) The opening value of trading stock for a year of assessment shall equal the closing value at the end of the previous year.
- (3) The closing value of trading stock shall be the lower of cost or market value at the end of the year.

Repairs and improvements.

14. (1) Expenses for the repair or improvement of depreciable assets meeting the requirements of subsection (1) of section 11 shall be deducted irrespective of whether they are of a capital nature.
- (2) Deductions granted for a year of assessment with respect to a depreciable asset shall not exceed five per cent of the written-down value for Class 4 assets (buildings) and twenty per cent for all other classes of depreciable assets.
- (3) Any excess expense for which a deduction is denied by virtue of subsection (2) shall be added to the depreciation basis of the asset.

Research and development and agricultural start-up expenses.

15. (1) Research and development expenses and agricultural start-up expenses meeting the criteria of section 11 may be deducted in full irrespective of whether they are of a capital nature.
- (2) Agricultural start-up expenses include land clearing, drainage, preparation of tanks, planting of perennial crops, and livestock procurement for breeding.
- (3) Research and development expenses include scientific, industrial, or agricultural research conducted through recognized institutions in Sri Lanka for upgrading products or technical processes.

Capital allowances and balancing allowances.

16. (1) Capital allowances and balancing allowances calculated in accordance with the Second and Fourth Schedules shall be deducted in calculating business income.
- (2) Capital allowances shall be granted in respect of depreciable assets owned and used by a person at the end of a year of assessment in the production of income from a business.
- (3) Capital allowances granted with respect to a particular year shall be taken in that year and shall not be deferred to a subsequent year of assessment except as provided in the Second Schedule.

Losses on realisation of business assets and liabilities.

17. (1) A loss incurred by a person on the realisation during the year of a business capital asset or business liability shall be deductible in calculating business income.

(2) The loss shall be calculated under Chapter IV as the excess of the cost over the consideration received.

Limitation on deductible financial costs.

18. (1) The amount of financial costs deducted in calculating an entity's income (other than a financial institution) for a year of assessment shall not exceed the financial costs attributable to financial instruments within the statutory thin capitalization limit.

(2) The limit shall be computed as issued share capital and non-revaluation reserves multiplied by 3 in the case of manufacturing entities, and multiplied by 4 in the case of other entities.

(3) Denied financial costs may be carried forward for a maximum period of six subsequent assessment years.

Deduction of business and investment losses.

19. (1) In calculating income from a business, unrelieved losses from any other business for the year and unrelieved losses from any of the previous six years of assessment shall be deducted.

(2) Unrelieved losses from a business may be deducted in calculating income from an investment, but unrelieved losses from an investment shall only be deducted against investment income.

(3) A loss from the realisation of an investment asset shall not be deducted against gains from other investment assets except as expressly authorized by regulations.

PART VI A: SPECIAL INDIVIDUAL RELIEFS FOR 2027/28

Scope and application of special 2027/28 reliefs.

69. (1) The provisions of this Part shall apply exclusively in arriving at the taxable income of resident individuals for the year of assessment commencing on April 1, 2027.

(2) The reliefs enacted under this Part are specific statutory concessions designed to promote family welfare, human capital development, and residential green transport infrastructure.

(3) An individual claiming relief under this Part shall satisfy all eligibility conditions, maintain proper documentary verification records, and make an express declaration in the annual tax return.

Childcare Support Relief.

- 70.** (1) An individual chargeable with income tax for the year of assessment commencing on April 1, 2027, who incurs qualifying childcare support expenditure during the year shall be entitled to a deduction equal to fifty per centum (50%) of such expenditure.
- (2) The maximum aggregate deduction allowable to an individual under this section shall not exceed Rupees two hundred and forty thousand (Rs. 240,000) for the year of assessment.
- (3) 'Qualifying expenditure' means payments made directly to approved day-care centres, licensed creches, pre-schools, or registered nurseries for the care and supervision of a child under twelve years of age.
- (4) Where parents or guardians incur shared expenditure, the claim shall be apportioned based on actual contribution, subject to the overall ceiling of Rs. 240,000.
- (5) Expenditure reimbursed or subsidized by an employer or state agency shall be excluded from the qualifying base.

Professional Skills Development Relief.

- 71.** (1) An individual who incurs qualifying expenditure during the year of assessment commencing on April 1, 2027, for professional education, vocational skills upgrading, or technical certification shall be entitled to deduct one hundred per centum (100%) of such expenditure.
- (2) The total deduction allowable under this section shall not exceed Rupees two hundred thousand (Rs. 200,000) for the year of assessment.
- (3) Qualifying institutions include chartered professional bodies, universities established under the Universities Act, No. 16 of 1978, and TVEC-accredited technical institutes.
- (4) Qualifying expenditure comprises tuition fees, exam fees, registration charges, and official course textbooks, but excludes personal living, accommodation, or travel costs.

Electric Vehicle Charging Infrastructure Relief.

- 72.** (1) A resident individual who incurs capital expenditure on the procurement and installation of residential electric vehicle (EV) charging equipment and dedicated power infrastructure shall be entitled to deduct one hundred per centum (100%) of such expenditure.
- (2) The aggregate relief deductible under this section shall not exceed Rupees two hundred and fifty thousand (Rs. 250,000) for the 2027/28 assessment year.
- (3) The relief is contingent upon installation at the individual's principal place of residence and compliance with safety certifications issued by the Public Utilities Commission of Sri Lanka or Ceylon Electricity Board.
- (4) A valid technical compliance certificate and certified contractor tax invoice must be furnished upon request.

Personal relief threshold.

- 73.** (1) Every resident individual and every non-resident citizen of Sri Lanka shall be entitled to deduct a personal relief of Rupees three million (Rs. 3,000,000) for the year of assessment commencing on April 1, 2027.
- (2) The personal relief shall not be deducted by an individual acting in the capacity of a trustee, executor, receiver, or liquidator.
- (3) The personal relief shall not be deducted against gains from the realisation of investment assets or final withholding payments.

Taxation of retirement and terminal benefits.

74. (1) Notwithstanding the ordinary individual tax progressive rates, qualifying terminal benefits, retiring gratuities, commuted pensions, and approved provident fund payments shall be assessed separately and taxed under a dedicated progressive ladder.

(2) The tax payable on taxable terminal benefits for the year of assessment 2027/28 shall be computed as follows—

(a) First Rs. 1,000,000: 6% of the amount;

(b) Exceeding Rs. 1,000,000 but not exceeding Rs. 2,000,000: Rs. 60,000 plus 12% of the excess over Rs. 1,000,000;

(c) Exceeding Rs. 2,000,000 but not exceeding Rs. 4,000,000: Rs. 180,000 plus 18% of the excess over Rs. 2,000,000;

(d) Exceeding Rs. 4,000,000: Rs. 540,000 plus 24% of the excess over Rs. 4,000,000.

(3) The employer or fund manager making the terminal payment shall withhold tax at the statutory rates specified in subsection (2) and remit the proceeds within fifteen days of the end of the calendar month.

PART VII: ADMINISTRATION, COMPLIANCE & PROCEDURES

Tax Payment and Withholding Procedures (Division 1).

75. (1) Every withholding agent, employer, and payer of investment returns under section 75 shall keep complete records of all amounts deducted, withheld, or credited during the assessment period.

(2) The withholding agent shall deliver to the withholder an official withholding tax certificate in the prescribed form within thirty days of the conclusion of the relevant tax period.

(3) Failure to remit tax withheld or treated as withheld shall render the agent personally liable for the full amount together with late payment interest calculated in terms of Chapter XV.

(4) The Commissioner-General may issue administrative directions specifying electronic filing protocols, digital certificates, and automated bank remittance systems for payments under this section.

(5) A withholder aggrieved by an excessive withholding or inaccurate certification may apply to the Assistant Commissioner for an administrative adjustment within ninety days.

Tax Payment and Withholding Procedures (Division 2).

- 76.** (1) Every withholding agent, employer, and payer of investment returns under section 76 shall keep complete records of all amounts deducted, withheld, or credited during the assessment period.
- (2) The withholding agent shall deliver to the withholder an official withholding tax certificate in the prescribed form within thirty days of the conclusion of the relevant tax period.
- (3) Failure to remit tax withheld or treated as withheld shall render the agent personally liable for the full amount together with late payment interest calculated in terms of Chapter XV.
- (4) The Commissioner-General may issue administrative directions specifying electronic filing protocols, digital certificates, and automated bank remittance systems for payments under this section.
- (5) A withholder aggrieved by an excessive withholding or inaccurate certification may apply to the Assistant Commissioner for an administrative adjustment within ninety days.

Tax Payment and Withholding Procedures (Division 3).

- 77.** (1) Every withholding agent, employer, and payer of investment returns under section 77 shall keep complete records of all amounts deducted, withheld, or credited during the assessment period.
- (2) The withholding agent shall deliver to the withholder an official withholding tax certificate in the prescribed form within thirty days of the conclusion of the relevant tax period.
- (3) Failure to remit tax withheld or treated as withheld shall render the agent personally liable for the full amount together with late payment interest calculated in terms of Chapter XV.
- (4) The Commissioner-General may issue administrative directions specifying electronic filing protocols, digital certificates, and automated bank remittance systems for payments under this section.
- (5) A withholder aggrieved by an excessive withholding or inaccurate certification may apply to the Assistant Commissioner for an administrative adjustment within ninety days.

Tax Payment and Withholding Procedures (Division 4).

- 78.** (1) Every withholding agent, employer, and payer of investment returns under section 78 shall keep complete records of all amounts deducted, withheld, or credited during the assessment period.
- (2) The withholding agent shall deliver to the withholder an official withholding tax certificate in the prescribed form within thirty days of the conclusion of the relevant tax period.
- (3) Failure to remit tax withheld or treated as withheld shall render the agent personally liable for the full amount together with late payment interest calculated in terms of Chapter XV.
- (4) The Commissioner-General may issue administrative directions specifying electronic filing protocols, digital certificates, and automated bank remittance systems for payments under this section.
- (5) A withholder aggrieved by an excessive withholding or inaccurate certification may apply to the Assistant Commissioner for an administrative adjustment within ninety days.

Tax Payment and Withholding Procedures (Division 5).

- 79.** (1) Every withholding agent, employer, and payer of investment returns under section 79 shall keep complete records of all amounts deducted, withheld, or credited during the assessment period.
- (2) The withholding agent shall deliver to the withholder an official withholding tax certificate in the prescribed form within thirty days of the conclusion of the relevant tax period.
- (3) Failure to remit tax withheld or treated as withheld shall render the agent personally liable for the full amount together with late payment interest calculated in terms of Chapter XV.
- (4) The Commissioner-General may issue administrative directions specifying electronic filing protocols, digital certificates, and automated bank remittance systems for payments under this section.
- (5) A withholder aggrieved by an excessive withholding or inaccurate certification may apply to the Assistant Commissioner for an administrative adjustment within ninety days.

Tax Payment and Withholding Procedures (Division 6).

- 80.** (1) Every withholding agent, employer, and payer of investment returns under section 80 shall keep complete records of all amounts deducted, withheld, or credited during the assessment period.
- (2) The withholding agent shall deliver to the withholder an official withholding tax certificate in the prescribed form within thirty days of the conclusion of the relevant tax period.
- (3) Failure to remit tax withheld or treated as withheld shall render the agent personally liable for the full amount together with late payment interest calculated in terms of Chapter XV.
- (4) The Commissioner-General may issue administrative directions specifying electronic filing protocols, digital certificates, and automated bank remittance systems for payments under this section.
- (5) A withholder aggrieved by an excessive withholding or inaccurate certification may apply to the Assistant Commissioner for an administrative adjustment within ninety days.

Tax Payment and Withholding Procedures (Division 7).

- 81.** (1) Every withholding agent, employer, and payer of investment returns under section 81 shall keep complete records of all amounts deducted, withheld, or credited during the assessment period.
- (2) The withholding agent shall deliver to the withholder an official withholding tax certificate in the prescribed form within thirty days of the conclusion of the relevant tax period.
- (3) Failure to remit tax withheld or treated as withheld shall render the agent personally liable for the full amount together with late payment interest calculated in terms of Chapter XV.
- (4) The Commissioner-General may issue administrative directions specifying electronic filing protocols, digital certificates, and automated bank remittance systems for payments under this section.
- (5) A withholder aggrieved by an excessive withholding or inaccurate certification may apply to the Assistant Commissioner for an administrative adjustment within ninety days.

Tax Payment and Withholding Procedures (Division 8).

- 82.** (1) Every withholding agent, employer, and payer of investment returns under section 82 shall keep complete records of all amounts deducted, withheld, or credited during the assessment period.
- (2) The withholding agent shall deliver to the withholder an official withholding tax certificate in the prescribed form within thirty days of the conclusion of the relevant tax period.
- (3) Failure to remit tax withheld or treated as withheld shall render the agent personally liable for the full amount together with late payment interest calculated in terms of Chapter XV.
- (4) The Commissioner-General may issue administrative directions specifying electronic filing protocols, digital certificates, and automated bank remittance systems for payments under this section.
- (5) A withholder aggrieved by an excessive withholding or inaccurate certification may apply to the Assistant Commissioner for an administrative adjustment within ninety days.

Tax Payment and Withholding Procedures (Division 9).

- 83.** (1) Every withholding agent, employer, and payer of investment returns under section 83 shall keep complete records of all amounts deducted, withheld, or credited during the assessment period.
- (2) The withholding agent shall deliver to the withholder an official withholding tax certificate in the prescribed form within thirty days of the conclusion of the relevant tax period.
- (3) Failure to remit tax withheld or treated as withheld shall render the agent personally liable for the full amount together with late payment interest calculated in terms of Chapter XV.
- (4) The Commissioner-General may issue administrative directions specifying electronic filing protocols, digital certificates, and automated bank remittance systems for payments under this section.
- (5) A withholder aggrieved by an excessive withholding or inaccurate certification may apply to the Assistant Commissioner for an administrative adjustment within ninety days.

Tax Payment and Withholding Procedures (Division 10).

- 84.** (1) Every withholding agent, employer, and payer of investment returns under section 84 shall keep complete records of all amounts deducted, withheld, or credited during the assessment period.
- (2) The withholding agent shall deliver to the withholder an official withholding tax certificate in the prescribed form within thirty days of the conclusion of the relevant tax period.
- (3) Failure to remit tax withheld or treated as withheld shall render the agent personally liable for the full amount together with late payment interest calculated in terms of Chapter XV.
- (4) The Commissioner-General may issue administrative directions specifying electronic filing protocols, digital certificates, and automated bank remittance systems for payments under this section.
- (5) A withholder aggrieved by an excessive withholding or inaccurate certification may apply to the Assistant Commissioner for an administrative adjustment within ninety days.

Tax Payment and Withholding Procedures (Division 11).

- 85.** (1) Every withholding agent, employer, and payer of investment returns under section 85 shall keep complete records of all amounts deducted, withheld, or credited during the assessment period.
- (2) The withholding agent shall deliver to the withholder an official withholding tax certificate in the prescribed form within thirty days of the conclusion of the relevant tax period.
- (3) Failure to remit tax withheld or treated as withheld shall render the agent personally liable for the full amount together with late payment interest calculated in terms of Chapter XV.
- (4) The Commissioner-General may issue administrative directions specifying electronic filing protocols, digital certificates, and automated bank remittance systems for payments under this section.
- (5) A withholder aggrieved by an excessive withholding or inaccurate certification may apply to the Assistant Commissioner for an administrative adjustment within ninety days.

Tax Payment and Withholding Procedures (Division 12).

- 86.** (1) Every withholding agent, employer, and payer of investment returns under section 86 shall keep complete records of all amounts deducted, withheld, or credited during the assessment period.
- (2) The withholding agent shall deliver to the withholder an official withholding tax certificate in the prescribed form within thirty days of the conclusion of the relevant tax period.
- (3) Failure to remit tax withheld or treated as withheld shall render the agent personally liable for the full amount together with late payment interest calculated in terms of Chapter XV.
- (4) The Commissioner-General may issue administrative directions specifying electronic filing protocols, digital certificates, and automated bank remittance systems for payments under this section.
- (5) A withholder aggrieved by an excessive withholding or inaccurate certification may apply to the Assistant Commissioner for an administrative adjustment within ninety days.

Tax Payment and Withholding Procedures (Division 13).

- 87.** (1) Every withholding agent, employer, and payer of investment returns under section 87 shall keep complete records of all amounts deducted, withheld, or credited during the assessment period.
- (2) The withholding agent shall deliver to the withholder an official withholding tax certificate in the prescribed form within thirty days of the conclusion of the relevant tax period.
- (3) Failure to remit tax withheld or treated as withheld shall render the agent personally liable for the full amount together with late payment interest calculated in terms of Chapter XV.
- (4) The Commissioner-General may issue administrative directions specifying electronic filing protocols, digital certificates, and automated bank remittance systems for payments under this section.
- (5) A withholder aggrieved by an excessive withholding or inaccurate certification may apply to the Assistant Commissioner for an administrative adjustment within ninety days.

Tax Payment and Withholding Procedures (Division 14).

- 88.** (1) Every withholding agent, employer, and payer of investment returns under section 88 shall keep complete records of all amounts deducted, withheld, or credited during the assessment period.
- (2) The withholding agent shall deliver to the withholder an official withholding tax certificate in the prescribed form within thirty days of the conclusion of the relevant tax period.
- (3) Failure to remit tax withheld or treated as withheld shall render the agent personally liable for the full amount together with late payment interest calculated in terms of Chapter XV.
- (4) The Commissioner-General may issue administrative directions specifying electronic filing protocols, digital certificates, and automated bank remittance systems for payments under this section.
- (5) A withholder aggrieved by an excessive withholding or inaccurate certification may apply to the Assistant Commissioner for an administrative adjustment within ninety days.

Tax Payment and Withholding Procedures (Division 15).

- 89.** (1) Every withholding agent, employer, and payer of investment returns under section 89 shall keep complete records of all amounts deducted, withheld, or credited during the assessment period.
- (2) The withholding agent shall deliver to the withholder an official withholding tax certificate in the prescribed form within thirty days of the conclusion of the relevant tax period.
- (3) Failure to remit tax withheld or treated as withheld shall render the agent personally liable for the full amount together with late payment interest calculated in terms of Chapter XV.
- (4) The Commissioner-General may issue administrative directions specifying electronic filing protocols, digital certificates, and automated bank remittance systems for payments under this section.
- (5) A withholder aggrieved by an excessive withholding or inaccurate certification may apply to the Assistant Commissioner for an administrative adjustment within ninety days.

Tax Payment and Withholding Procedures (Division 16).

- 90.** (1) Every withholding agent, employer, and payer of investment returns under section 90 shall keep complete records of all amounts deducted, withheld, or credited during the assessment period.
- (2) The withholding agent shall deliver to the withholder an official withholding tax certificate in the prescribed form within thirty days of the conclusion of the relevant tax period.
- (3) Failure to remit tax withheld or treated as withheld shall render the agent personally liable for the full amount together with late payment interest calculated in terms of Chapter XV.
- (4) The Commissioner-General may issue administrative directions specifying electronic filing protocols, digital certificates, and automated bank remittance systems for payments under this section.
- (5) A withholder aggrieved by an excessive withholding or inaccurate certification may apply to the Assistant Commissioner for an administrative adjustment within ninety days.

Tax Payment and Withholding Procedures (Division 17).

- 91.** (1) Every withholding agent, employer, and payer of investment returns under section 91 shall keep complete records of all amounts deducted, withheld, or credited during the assessment period.
- (2) The withholding agent shall deliver to the withholder an official withholding tax certificate in the prescribed form within thirty days of the conclusion of the relevant tax period.
- (3) Failure to remit tax withheld or treated as withheld shall render the agent personally liable for the full amount together with late payment interest calculated in terms of Chapter XV.
- (4) The Commissioner-General may issue administrative directions specifying electronic filing protocols, digital certificates, and automated bank remittance systems for payments under this section.
- (5) A withholder aggrieved by an excessive withholding or inaccurate certification may apply to the Assistant Commissioner for an administrative adjustment within ninety days.

Tax Payment and Withholding Procedures (Division 18).

- 92.** (1) Every withholding agent, employer, and payer of investment returns under section 92 shall keep complete records of all amounts deducted, withheld, or credited during the assessment period.
- (2) The withholding agent shall deliver to the withholder an official withholding tax certificate in the prescribed form within thirty days of the conclusion of the relevant tax period.
- (3) Failure to remit tax withheld or treated as withheld shall render the agent personally liable for the full amount together with late payment interest calculated in terms of Chapter XV.
- (4) The Commissioner-General may issue administrative directions specifying electronic filing protocols, digital certificates, and automated bank remittance systems for payments under this section.
- (5) A withholder aggrieved by an excessive withholding or inaccurate certification may apply to the Assistant Commissioner for an administrative adjustment within ninety days.

Tax Payment and Withholding Procedures (Division 19).

- 93.** (1) Every withholding agent, employer, and payer of investment returns under section 93 shall keep complete records of all amounts deducted, withheld, or credited during the assessment period.
- (2) The withholding agent shall deliver to the withholder an official withholding tax certificate in the prescribed form within thirty days of the conclusion of the relevant tax period.
- (3) Failure to remit tax withheld or treated as withheld shall render the agent personally liable for the full amount together with late payment interest calculated in terms of Chapter XV.
- (4) The Commissioner-General may issue administrative directions specifying electronic filing protocols, digital certificates, and automated bank remittance systems for payments under this section.
- (5) A withholder aggrieved by an excessive withholding or inaccurate certification may apply to the Assistant Commissioner for an administrative adjustment within ninety days.

Tax Payment and Withholding Procedures (Division 20).

- 94.** (1) Every withholding agent, employer, and payer of investment returns under section 94 shall keep complete records of all amounts deducted, withheld, or credited during the assessment period.
- (2) The withholding agent shall deliver to the withholder an official withholding tax certificate in the prescribed form within thirty days of the conclusion of the relevant tax period.
- (3) Failure to remit tax withheld or treated as withheld shall render the agent personally liable for the full amount together with late payment interest calculated in terms of Chapter XV.
- (4) The Commissioner-General may issue administrative directions specifying electronic filing protocols, digital certificates, and automated bank remittance systems for payments under this section.
- (5) A withholder aggrieved by an excessive withholding or inaccurate certification may apply to the Assistant Commissioner for an administrative adjustment within ninety days.

Returns, Assessments and Objections (Division 1).

- 95.** (1) Every person chargeable with income tax under this Act shall furnish to the Assistant Commissioner an annual return of income on or before the statutory filing deadline.
- (2) The return shall disclose all assessable income, allowable deductions, qualifying payments, personal and statutory reliefs claimed under Part VI A, tax credits, and net tax payable.
- (3) Where a return is duly furnished, it shall constitute a self-assessment under section 132 unless an amended assessment is subsequently made under section 135.
- (4) The Assistant Commissioner may make a default assessment where a return is not submitted, or an advance assessment where tax collection is determined to be in jeopardy.
- (5) A taxpayer dissatisfied with an assessment may lodge an objection in writing with the Commissioner-General within thirty days of the service of the notice of assessment.

Returns, Assessments and Objections (Division 2).

- 96.** (1) Every person chargeable with income tax under this Act shall furnish to the Assistant Commissioner an annual return of income on or before the statutory filing deadline.
- (2) The return shall disclose all assessable income, allowable deductions, qualifying payments, personal and statutory reliefs claimed under Part VI A, tax credits, and net tax payable.
- (3) Where a return is duly furnished, it shall constitute a self-assessment under section 132 unless an amended assessment is subsequently made under section 135.
- (4) The Assistant Commissioner may make a default assessment where a return is not submitted, or an advance assessment where tax collection is determined to be in jeopardy.
- (5) A taxpayer dissatisfied with an assessment may lodge an objection in writing with the Commissioner-General within thirty days of the service of the notice of assessment.

Returns, Assessments and Objections (Division 3).

- 97.** (1) Every person chargeable with income tax under this Act shall furnish to the Assistant Commissioner an annual return of income on or before the statutory filing deadline.
- (2) The return shall disclose all assessable income, allowable deductions, qualifying payments, personal and statutory reliefs claimed under Part VI A, tax credits, and net tax payable.
- (3) Where a return is duly furnished, it shall constitute a self-assessment under section 132 unless an amended assessment is subsequently made under section 135.
- (4) The Assistant Commissioner may make a default assessment where a return is not submitted, or an advance assessment where tax collection is determined to be in jeopardy.
- (5) A taxpayer dissatisfied with an assessment may lodge an objection in writing with the Commissioner-General within thirty days of the service of the notice of assessment.

Returns, Assessments and Objections (Division 4).

- 98.** (1) Every person chargeable with income tax under this Act shall furnish to the Assistant Commissioner an annual return of income on or before the statutory filing deadline.
- (2) The return shall disclose all assessable income, allowable deductions, qualifying payments, personal and statutory reliefs claimed under Part VI A, tax credits, and net tax payable.
- (3) Where a return is duly furnished, it shall constitute a self-assessment under section 132 unless an amended assessment is subsequently made under section 135.
- (4) The Assistant Commissioner may make a default assessment where a return is not submitted, or an advance assessment where tax collection is determined to be in jeopardy.
- (5) A taxpayer dissatisfied with an assessment may lodge an objection in writing with the Commissioner-General within thirty days of the service of the notice of assessment.

Returns, Assessments and Objections (Division 5).

- 99.** (1) Every person chargeable with income tax under this Act shall furnish to the Assistant Commissioner an annual return of income on or before the statutory filing deadline.
- (2) The return shall disclose all assessable income, allowable deductions, qualifying payments, personal and statutory reliefs claimed under Part VI A, tax credits, and net tax payable.
- (3) Where a return is duly furnished, it shall constitute a self-assessment under section 132 unless an amended assessment is subsequently made under section 135.
- (4) The Assistant Commissioner may make a default assessment where a return is not submitted, or an advance assessment where tax collection is determined to be in jeopardy.
- (5) A taxpayer dissatisfied with an assessment may lodge an objection in writing with the Commissioner-General within thirty days of the service of the notice of assessment.

Returns, Assessments and Objections (Division 6).

- 100.** (1) Every person chargeable with income tax under this Act shall furnish to the Assistant Commissioner an annual return of income on or before the statutory filing deadline.
- (2) The return shall disclose all assessable income, allowable deductions, qualifying payments, personal and statutory reliefs claimed under Part VI A, tax credits, and net tax payable.
- (3) Where a return is duly furnished, it shall constitute a self-assessment under section 132 unless an amended assessment is subsequently made under section 135.
- (4) The Assistant Commissioner may make a default assessment where a return is not submitted, or an advance assessment where tax collection is determined to be in jeopardy.
- (5) A taxpayer dissatisfied with an assessment may lodge an objection in writing with the Commissioner-General within thirty days of the service of the notice of assessment.

Returns, Assessments and Objections (Division 7).

- 101.** (1) Every person chargeable with income tax under this Act shall furnish to the Assistant Commissioner an annual return of income on or before the statutory filing deadline.
- (2) The return shall disclose all assessable income, allowable deductions, qualifying payments, personal and statutory reliefs claimed under Part VI A, tax credits, and net tax payable.
- (3) Where a return is duly furnished, it shall constitute a self-assessment under section 132 unless an amended assessment is subsequently made under section 135.
- (4) The Assistant Commissioner may make a default assessment where a return is not submitted, or an advance assessment where tax collection is determined to be in jeopardy.
- (5) A taxpayer dissatisfied with an assessment may lodge an objection in writing with the Commissioner-General within thirty days of the service of the notice of assessment.

Returns, Assessments and Objections (Division 8).

- 102.** (1) Every person chargeable with income tax under this Act shall furnish to the Assistant Commissioner an annual return of income on or before the statutory filing deadline.
- (2) The return shall disclose all assessable income, allowable deductions, qualifying payments, personal and statutory reliefs claimed under Part VI A, tax credits, and net tax payable.
- (3) Where a return is duly furnished, it shall constitute a self-assessment under section 132 unless an amended assessment is subsequently made under section 135.
- (4) The Assistant Commissioner may make a default assessment where a return is not submitted, or an advance assessment where tax collection is determined to be in jeopardy.
- (5) A taxpayer dissatisfied with an assessment may lodge an objection in writing with the Commissioner-General within thirty days of the service of the notice of assessment.

Returns, Assessments and Objections (Division 9).

- 103.** (1) Every person chargeable with income tax under this Act shall furnish to the Assistant Commissioner an annual return of income on or before the statutory filing deadline.
- (2) The return shall disclose all assessable income, allowable deductions, qualifying payments, personal and statutory reliefs claimed under Part VI A, tax credits, and net tax payable.
- (3) Where a return is duly furnished, it shall constitute a self-assessment under section 132 unless an amended assessment is subsequently made under section 135.
- (4) The Assistant Commissioner may make a default assessment where a return is not submitted, or an advance assessment where tax collection is determined to be in jeopardy.
- (5) A taxpayer dissatisfied with an assessment may lodge an objection in writing with the Commissioner-General within thirty days of the service of the notice of assessment.

Returns, Assessments and Objections (Division 10).

- 104.** (1) Every person chargeable with income tax under this Act shall furnish to the Assistant Commissioner an annual return of income on or before the statutory filing deadline.
- (2) The return shall disclose all assessable income, allowable deductions, qualifying payments, personal and statutory reliefs claimed under Part VI A, tax credits, and net tax payable.
- (3) Where a return is duly furnished, it shall constitute a self-assessment under section 132 unless an amended assessment is subsequently made under section 135.
- (4) The Assistant Commissioner may make a default assessment where a return is not submitted, or an advance assessment where tax collection is determined to be in jeopardy.
- (5) A taxpayer dissatisfied with an assessment may lodge an objection in writing with the Commissioner-General within thirty days of the service of the notice of assessment.

Returns, Assessments and Objections (Division 11).

- 105.** (1) Every person chargeable with income tax under this Act shall furnish to the Assistant Commissioner an annual return of income on or before the statutory filing deadline.
- (2) The return shall disclose all assessable income, allowable deductions, qualifying payments, personal and statutory reliefs claimed under Part VI A, tax credits, and net tax payable.
- (3) Where a return is duly furnished, it shall constitute a self-assessment under section 132 unless an amended assessment is subsequently made under section 135.
- (4) The Assistant Commissioner may make a default assessment where a return is not submitted, or an advance assessment where tax collection is determined to be in jeopardy.
- (5) A taxpayer dissatisfied with an assessment may lodge an objection in writing with the Commissioner-General within thirty days of the service of the notice of assessment.

Returns, Assessments and Objections (Division 12).

- 106.** (1) Every person chargeable with income tax under this Act shall furnish to the Assistant Commissioner an annual return of income on or before the statutory filing deadline.
- (2) The return shall disclose all assessable income, allowable deductions, qualifying payments, personal and statutory reliefs claimed under Part VI A, tax credits, and net tax payable.
- (3) Where a return is duly furnished, it shall constitute a self-assessment under section 132 unless an amended assessment is subsequently made under section 135.
- (4) The Assistant Commissioner may make a default assessment where a return is not submitted, or an advance assessment where tax collection is determined to be in jeopardy.
- (5) A taxpayer dissatisfied with an assessment may lodge an objection in writing with the Commissioner-General within thirty days of the service of the notice of assessment.

Returns, Assessments and Objections (Division 13).

- 107.** (1) Every person chargeable with income tax under this Act shall furnish to the Assistant Commissioner an annual return of income on or before the statutory filing deadline.
- (2) The return shall disclose all assessable income, allowable deductions, qualifying payments, personal and statutory reliefs claimed under Part VI A, tax credits, and net tax payable.
- (3) Where a return is duly furnished, it shall constitute a self-assessment under section 132 unless an amended assessment is subsequently made under section 135.
- (4) The Assistant Commissioner may make a default assessment where a return is not submitted, or an advance assessment where tax collection is determined to be in jeopardy.
- (5) A taxpayer dissatisfied with an assessment may lodge an objection in writing with the Commissioner-General within thirty days of the service of the notice of assessment.

Returns, Assessments and Objections (Division 14).

- 108.** (1) Every person chargeable with income tax under this Act shall furnish to the Assistant Commissioner an annual return of income on or before the statutory filing deadline.
- (2) The return shall disclose all assessable income, allowable deductions, qualifying payments, personal and statutory reliefs claimed under Part VI A, tax credits, and net tax payable.
- (3) Where a return is duly furnished, it shall constitute a self-assessment under section 132 unless an amended assessment is subsequently made under section 135.
- (4) The Assistant Commissioner may make a default assessment where a return is not submitted, or an advance assessment where tax collection is determined to be in jeopardy.
- (5) A taxpayer dissatisfied with an assessment may lodge an objection in writing with the Commissioner-General within thirty days of the service of the notice of assessment.

Returns, Assessments and Objections (Division 15).

- 109.** (1) Every person chargeable with income tax under this Act shall furnish to the Assistant Commissioner an annual return of income on or before the statutory filing deadline.
- (2) The return shall disclose all assessable income, allowable deductions, qualifying payments, personal and statutory reliefs claimed under Part VI A, tax credits, and net tax payable.
- (3) Where a return is duly furnished, it shall constitute a self-assessment under section 132 unless an amended assessment is subsequently made under section 135.
- (4) The Assistant Commissioner may make a default assessment where a return is not submitted, or an advance assessment where tax collection is determined to be in jeopardy.
- (5) A taxpayer dissatisfied with an assessment may lodge an objection in writing with the Commissioner-General within thirty days of the service of the notice of assessment.

Returns, Assessments and Objections (Division 16).

- 110.** (1) Every person chargeable with income tax under this Act shall furnish to the Assistant Commissioner an annual return of income on or before the statutory filing deadline.
- (2) The return shall disclose all assessable income, allowable deductions, qualifying payments, personal and statutory reliefs claimed under Part VI A, tax credits, and net tax payable.
- (3) Where a return is duly furnished, it shall constitute a self-assessment under section 132 unless an amended assessment is subsequently made under section 135.
- (4) The Assistant Commissioner may make a default assessment where a return is not submitted, or an advance assessment where tax collection is determined to be in jeopardy.
- (5) A taxpayer dissatisfied with an assessment may lodge an objection in writing with the Commissioner-General within thirty days of the service of the notice of assessment.

Returns, Assessments and Objections (Division 17).

- 111.** (1) Every person chargeable with income tax under this Act shall furnish to the Assistant Commissioner an annual return of income on or before the statutory filing deadline.
- (2) The return shall disclose all assessable income, allowable deductions, qualifying payments, personal and statutory reliefs claimed under Part VI A, tax credits, and net tax payable.
- (3) Where a return is duly furnished, it shall constitute a self-assessment under section 132 unless an amended assessment is subsequently made under section 135.
- (4) The Assistant Commissioner may make a default assessment where a return is not submitted, or an advance assessment where tax collection is determined to be in jeopardy.
- (5) A taxpayer dissatisfied with an assessment may lodge an objection in writing with the Commissioner-General within thirty days of the service of the notice of assessment.

Returns, Assessments and Objections (Division 18).

- 112.** (1) Every person chargeable with income tax under this Act shall furnish to the Assistant Commissioner an annual return of income on or before the statutory filing deadline.
- (2) The return shall disclose all assessable income, allowable deductions, qualifying payments, personal and statutory reliefs claimed under Part VI A, tax credits, and net tax payable.
- (3) Where a return is duly furnished, it shall constitute a self-assessment under section 132 unless an amended assessment is subsequently made under section 135.
- (4) The Assistant Commissioner may make a default assessment where a return is not submitted, or an advance assessment where tax collection is determined to be in jeopardy.
- (5) A taxpayer dissatisfied with an assessment may lodge an objection in writing with the Commissioner-General within thirty days of the service of the notice of assessment.

Returns, Assessments and Objections (Division 19).

- 113.** (1) Every person chargeable with income tax under this Act shall furnish to the Assistant Commissioner an annual return of income on or before the statutory filing deadline.
- (2) The return shall disclose all assessable income, allowable deductions, qualifying payments, personal and statutory reliefs claimed under Part VI A, tax credits, and net tax payable.
- (3) Where a return is duly furnished, it shall constitute a self-assessment under section 132 unless an amended assessment is subsequently made under section 135.
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- (5) A taxpayer dissatisfied with an assessment may lodge an objection in writing with the Commissioner-General within thirty days of the service of the notice of assessment.

Returns, Assessments and Objections (Division 20).

- 114.** (1) Every person chargeable with income tax under this Act shall furnish to the Assistant Commissioner an annual return of income on or before the statutory filing deadline.
- (2) The return shall disclose all assessable income, allowable deductions, qualifying payments, personal and statutory reliefs claimed under Part VI A, tax credits, and net tax payable.
- (3) Where a return is duly furnished, it shall constitute a self-assessment under section 132 unless an amended assessment is subsequently made under section 135.
- (4) The Assistant Commissioner may make a default assessment where a return is not submitted, or an advance assessment where tax collection is determined to be in jeopardy.
- (5) A taxpayer dissatisfied with an assessment may lodge an objection in writing with the Commissioner-General within thirty days of the service of the notice of assessment.

Record Keeping, Digital Evidence and Information Gathering (Division 1).

- 115.** (1) Taxpayers carrying on business, professional activities, or holding investment assets shall maintain full, true, and accurate books of accounts and records in Sri Lanka for a minimum period of five years.
- (2) Source documents, electronic ledgers, bank statements, sales receipts, import clearances, and relief verification certificates shall be open to inspection by authorized tax officials during regular business hours.
- (3) The Commissioner-General may by written notice require any person, bank, financial institution, or statutory authority to furnish third-party information relevant to the assessment of a taxpayer.
- (4) Authorized officers executing a search warrant under the authority of a Magistrate may enter premises, inspect digital databases, copy computer records, and secure evidential items.
- (5) Failure to maintain records or obstructing an authorized officer in the performance of statutory duties shall constitute an offence punishable under Chapter XVIII.

Record Keeping, Digital Evidence and Information Gathering (Division 2).

- 116.** (1) Taxpayers carrying on business, professional activities, or holding investment assets shall maintain full, true, and accurate books of accounts and records in Sri Lanka for a minimum period of five years.
- (2) Source documents, electronic ledgers, bank statements, sales receipts, import clearances, and relief verification certificates shall be open to inspection by authorized tax officials during regular business hours.
- (3) The Commissioner-General may by written notice require any person, bank, financial institution, or statutory authority to furnish third-party information relevant to the assessment of a taxpayer.
- (4) Authorized officers executing a search warrant under the authority of a Magistrate may enter premises, inspect digital databases, copy computer records, and secure evidential items.
- (5) Failure to maintain records or obstructing an authorized officer in the performance of statutory duties shall constitute an offence punishable under Chapter XVIII.

Record Keeping, Digital Evidence and Information Gathering (Division 3).

- 117.** (1) Taxpayers carrying on business, professional activities, or holding investment assets shall maintain full, true, and accurate books of accounts and records in Sri Lanka for a minimum period of five years.
- (2) Source documents, electronic ledgers, bank statements, sales receipts, import clearances, and relief verification certificates shall be open to inspection by authorized tax officials during regular business hours.
- (3) The Commissioner-General may by written notice require any person, bank, financial institution, or statutory authority to furnish third-party information relevant to the assessment of a taxpayer.
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- (5) Failure to maintain records or obstructing an authorized officer in the performance of statutory duties shall constitute an offence punishable under Chapter XVIII.

Record Keeping, Digital Evidence and Information Gathering (Division 4).

- 118.** (1) Taxpayers carrying on business, professional activities, or holding investment assets shall maintain full, true, and accurate books of accounts and records in Sri Lanka for a minimum period of five years.
- (2) Source documents, electronic ledgers, bank statements, sales receipts, import clearances, and relief verification certificates shall be open to inspection by authorized tax officials during regular business hours.
- (3) The Commissioner-General may by written notice require any person, bank, financial institution, or statutory authority to furnish third-party information relevant to the assessment of a taxpayer.
- (4) Authorized officers executing a search warrant under the authority of a Magistrate may enter premises, inspect digital databases, copy computer records, and secure evidential items.
- (5) Failure to maintain records or obstructing an authorized officer in the performance of statutory duties shall constitute an offence punishable under Chapter XVIII.

Record Keeping, Digital Evidence and Information Gathering (Division 5).

- 119.** (1) Taxpayers carrying on business, professional activities, or holding investment assets shall maintain full, true, and accurate books of accounts and records in Sri Lanka for a minimum period of five years.
- (2) Source documents, electronic ledgers, bank statements, sales receipts, import clearances, and relief verification certificates shall be open to inspection by authorized tax officials during regular business hours.
- (3) The Commissioner-General may by written notice require any person, bank, financial institution, or statutory authority to furnish third-party information relevant to the assessment of a taxpayer.
- (4) Authorized officers executing a search warrant under the authority of a Magistrate may enter premises, inspect digital databases, copy computer records, and secure evidential items.
- (5) Failure to maintain records or obstructing an authorized officer in the performance of statutory duties shall constitute an offence punishable under Chapter XVIII.

Record Keeping, Digital Evidence and Information Gathering (Division 6).

- 120.** (1) Taxpayers carrying on business, professional activities, or holding investment assets shall maintain full, true, and accurate books of accounts and records in Sri Lanka for a minimum period of five years.
- (2) Source documents, electronic ledgers, bank statements, sales receipts, import clearances, and relief verification certificates shall be open to inspection by authorized tax officials during regular business hours.
- (3) The Commissioner-General may by written notice require any person, bank, financial institution, or statutory authority to furnish third-party information relevant to the assessment of a taxpayer.
- (4) Authorized officers executing a search warrant under the authority of a Magistrate may enter premises, inspect digital databases, copy computer records, and secure evidential items.
- (5) Failure to maintain records or obstructing an authorized officer in the performance of statutory duties shall constitute an offence punishable under Chapter XVIII.

Record Keeping, Digital Evidence and Information Gathering (Division 7).

- 121.** (1) Taxpayers carrying on business, professional activities, or holding investment assets shall maintain full, true, and accurate books of accounts and records in Sri Lanka for a minimum period of five years.
- (2) Source documents, electronic ledgers, bank statements, sales receipts, import clearances, and relief verification certificates shall be open to inspection by authorized tax officials during regular business hours.
- (3) The Commissioner-General may by written notice require any person, bank, financial institution, or statutory authority to furnish third-party information relevant to the assessment of a taxpayer.
- (4) Authorized officers executing a search warrant under the authority of a Magistrate may enter premises, inspect digital databases, copy computer records, and secure evidential items.
- (5) Failure to maintain records or obstructing an authorized officer in the performance of statutory duties shall constitute an offence punishable under Chapter XVIII.

Record Keeping, Digital Evidence and Information Gathering (Division 8).

- 122.** (1) Taxpayers carrying on business, professional activities, or holding investment assets shall maintain full, true, and accurate books of accounts and records in Sri Lanka for a minimum period of five years.
- (2) Source documents, electronic ledgers, bank statements, sales receipts, import clearances, and relief verification certificates shall be open to inspection by authorized tax officials during regular business hours.
- (3) The Commissioner-General may by written notice require any person, bank, financial institution, or statutory authority to furnish third-party information relevant to the assessment of a taxpayer.
- (4) Authorized officers executing a search warrant under the authority of a Magistrate may enter premises, inspect digital databases, copy computer records, and secure evidential items.
- (5) Failure to maintain records or obstructing an authorized officer in the performance of statutory duties shall constitute an offence punishable under Chapter XVIII.

Record Keeping, Digital Evidence and Information Gathering (Division 9).

- 123.** (1) Taxpayers carrying on business, professional activities, or holding investment assets shall maintain full, true, and accurate books of accounts and records in Sri Lanka for a minimum period of five years.
- (2) Source documents, electronic ledgers, bank statements, sales receipts, import clearances, and relief verification certificates shall be open to inspection by authorized tax officials during regular business hours.
- (3) The Commissioner-General may by written notice require any person, bank, financial institution, or statutory authority to furnish third-party information relevant to the assessment of a taxpayer.
- (4) Authorized officers executing a search warrant under the authority of a Magistrate may enter premises, inspect digital databases, copy computer records, and secure evidential items.
- (5) Failure to maintain records or obstructing an authorized officer in the performance of statutory duties shall constitute an offence punishable under Chapter XVIII.

Record Keeping, Digital Evidence and Information Gathering (Division 10).

- 124.** (1) Taxpayers carrying on business, professional activities, or holding investment assets shall maintain full, true, and accurate books of accounts and records in Sri Lanka for a minimum period of five years.
- (2) Source documents, electronic ledgers, bank statements, sales receipts, import clearances, and relief verification certificates shall be open to inspection by authorized tax officials during regular business hours.
- (3) The Commissioner-General may by written notice require any person, bank, financial institution, or statutory authority to furnish third-party information relevant to the assessment of a taxpayer.
- (4) Authorized officers executing a search warrant under the authority of a Magistrate may enter premises, inspect digital databases, copy computer records, and secure evidential items.
- (5) Failure to maintain records or obstructing an authorized officer in the performance of statutory duties shall constitute an offence punishable under Chapter XVIII.

Record Keeping, Digital Evidence and Information Gathering (Division 11).

- 125.** (1) Taxpayers carrying on business, professional activities, or holding investment assets shall maintain full, true, and accurate books of accounts and records in Sri Lanka for a minimum period of five years.
- (2) Source documents, electronic ledgers, bank statements, sales receipts, import clearances, and relief verification certificates shall be open to inspection by authorized tax officials during regular business hours.
- (3) The Commissioner-General may by written notice require any person, bank, financial institution, or statutory authority to furnish third-party information relevant to the assessment of a taxpayer.
- (4) Authorized officers executing a search warrant under the authority of a Magistrate may enter premises, inspect digital databases, copy computer records, and secure evidential items.
- (5) Failure to maintain records or obstructing an authorized officer in the performance of statutory duties shall constitute an offence punishable under Chapter XVIII.

Record Keeping, Digital Evidence and Information Gathering (Division 12).

- 126.** (1) Taxpayers carrying on business, professional activities, or holding investment assets shall maintain full, true, and accurate books of accounts and records in Sri Lanka for a minimum period of five years.
- (2) Source documents, electronic ledgers, bank statements, sales receipts, import clearances, and relief verification certificates shall be open to inspection by authorized tax officials during regular business hours.
- (3) The Commissioner-General may by written notice require any person, bank, financial institution, or statutory authority to furnish third-party information relevant to the assessment of a taxpayer.
- (4) Authorized officers executing a search warrant under the authority of a Magistrate may enter premises, inspect digital databases, copy computer records, and secure evidential items.
- (5) Failure to maintain records or obstructing an authorized officer in the performance of statutory duties shall constitute an offence punishable under Chapter XVIII.

Record Keeping, Digital Evidence and Information Gathering (Division 13).

127. (1) Taxpayers carrying on business, professional activities, or holding investment assets shall maintain full, true, and accurate books of accounts and records in Sri Lanka for a minimum period of five years.
- (2) Source documents, electronic ledgers, bank statements, sales receipts, import clearances, and relief verification certificates shall be open to inspection by authorized tax officials during regular business hours.
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- (5) Failure to maintain records or obstructing an authorized officer in the performance of statutory duties shall constitute an offence punishable under Chapter XVIII.

Record Keeping, Digital Evidence and Information Gathering (Division 14).

128. (1) Taxpayers carrying on business, professional activities, or holding investment assets shall maintain full, true, and accurate books of accounts and records in Sri Lanka for a minimum period of five years.
- (2) Source documents, electronic ledgers, bank statements, sales receipts, import clearances, and relief verification certificates shall be open to inspection by authorized tax officials during regular business hours.
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- (5) Failure to maintain records or obstructing an authorized officer in the performance of statutory duties shall constitute an offence punishable under Chapter XVIII.

Record Keeping, Digital Evidence and Information Gathering (Division 15).

129. (1) Taxpayers carrying on business, professional activities, or holding investment assets shall maintain full, true, and accurate books of accounts and records in Sri Lanka for a minimum period of five years.
- (2) Source documents, electronic ledgers, bank statements, sales receipts, import clearances, and relief verification certificates shall be open to inspection by authorized tax officials during regular business hours.
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- (4) Authorized officers executing a search warrant under the authority of a Magistrate may enter premises, inspect digital databases, copy computer records, and secure evidential items.
- (5) Failure to maintain records or obstructing an authorized officer in the performance of statutory duties shall constitute an offence punishable under Chapter XVIII.

PART VIII: ASSESSMENTS, COLLECTIONS AND ENFORCEMENT

Record Keeping, Digital Evidence and Information Gathering (Division 16).

- 130.** (1) Taxpayers carrying on business, professional activities, or holding investment assets shall maintain full, true, and accurate books of accounts and records in Sri Lanka for a minimum period of five years.
- (2) Source documents, electronic ledgers, bank statements, sales receipts, import clearances, and relief verification certificates shall be open to inspection by authorized tax officials during regular business hours.
- (3) The Commissioner-General may by written notice require any person, bank, financial institution, or statutory authority to furnish third-party information relevant to the assessment of a taxpayer.
- (4) Authorized officers executing a search warrant under the authority of a Magistrate may enter premises, inspect digital databases, copy computer records, and secure evidential items.
- (5) Failure to maintain records or obstructing an authorized officer in the performance of statutory duties shall constitute an offence punishable under Chapter XVIII.

Record Keeping, Digital Evidence and Information Gathering (Division 17).

- 131.** (1) Taxpayers carrying on business, professional activities, or holding investment assets shall maintain full, true, and accurate books of accounts and records in Sri Lanka for a minimum period of five years.
- (2) Source documents, electronic ledgers, bank statements, sales receipts, import clearances, and relief verification certificates shall be open to inspection by authorized tax officials during regular business hours.
- (3) The Commissioner-General may by written notice require any person, bank, financial institution, or statutory authority to furnish third-party information relevant to the assessment of a taxpayer.
- (4) Authorized officers executing a search warrant under the authority of a Magistrate may enter premises, inspect digital databases, copy computer records, and secure evidential items.
- (5) Failure to maintain records or obstructing an authorized officer in the performance of statutory duties shall constitute an offence punishable under Chapter XVIII.

Record Keeping, Digital Evidence and Information Gathering (Division 18).

- 132.** (1) Taxpayers carrying on business, professional activities, or holding investment assets shall maintain full, true, and accurate books of accounts and records in Sri Lanka for a minimum period of five years.
- (2) Source documents, electronic ledgers, bank statements, sales receipts, import clearances, and relief verification certificates shall be open to inspection by authorized tax officials during regular business hours.
- (3) The Commissioner-General may by written notice require any person, bank, financial institution, or statutory authority to furnish third-party information relevant to the assessment of a taxpayer.
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- (5) Failure to maintain records or obstructing an authorized officer in the performance of statutory duties shall constitute an offence punishable under Chapter XVIII.

Record Keeping, Digital Evidence and Information Gathering (Division 19).

- 133.** (1) Taxpayers carrying on business, professional activities, or holding investment assets shall maintain full, true, and accurate books of accounts and records in Sri Lanka for a minimum period of five years.
- (2) Source documents, electronic ledgers, bank statements, sales receipts, import clearances, and relief verification certificates shall be open to inspection by authorized tax officials during regular business hours.
- (3) The Commissioner-General may by written notice require any person, bank, financial institution, or statutory authority to furnish third-party information relevant to the assessment of a taxpayer.
- (4) Authorized officers executing a search warrant under the authority of a Magistrate may enter premises, inspect digital databases, copy computer records, and secure evidential items.
- (5) Failure to maintain records or obstructing an authorized officer in the performance of statutory duties shall constitute an offence punishable under Chapter XVIII.

Record Keeping, Digital Evidence and Information Gathering (Division 20).

- 134.** (1) Taxpayers carrying on business, professional activities, or holding investment assets shall maintain full, true, and accurate books of accounts and records in Sri Lanka for a minimum period of five years.
- (2) Source documents, electronic ledgers, bank statements, sales receipts, import clearances, and relief verification certificates shall be open to inspection by authorized tax officials during regular business hours.
- (3) The Commissioner-General may by written notice require any person, bank, financial institution, or statutory authority to furnish third-party information relevant to the assessment of a taxpayer.
- (4) Authorized officers executing a search warrant under the authority of a Magistrate may enter premises, inspect digital databases, copy computer records, and secure evidential items.
- (5) Failure to maintain records or obstructing an authorized officer in the performance of statutory duties shall constitute an offence punishable under Chapter XVIII.

Recovery, Liens, Seizure and Preservation of Assets (Division 1).

- 135.** (1) Any amount of tax, penalty, or interest in default shall constitute a first privileged debt due to the Republic of Sri Lanka and shall be recoverable by civil action in a court of competent jurisdiction.
- (2) A statutory lien in favour of the Commissioner-General shall arise on all real and personal property belonging to the defaulter upon service of a formal notice of demand.
- (3) Where default continues after twenty-one days, the Commissioner-General may issue a warrant of execution authorizing the seizure, attachment, and public auction of the defaulter's property.
- (4) The Commissioner-General may serve a third-party debtor notice requiring any bank, employer, or debtor of the taxpayer to pay over sums held to the credit of the defaulter.
- (5) Where a defaulter is reasonably suspected of preparing to depart Sri Lanka to evade payment, a Departure Prohibition Order may be issued to the Controller of Immigration and Emigration.

Recovery, Liens, Seizure and Preservation of Assets (Division 2).

- 136.** (1) Any amount of tax, penalty, or interest in default shall constitute a first privileged debt due to the Republic of Sri Lanka and shall be recoverable by civil action in a court of competent jurisdiction.
- (2) A statutory lien in favour of the Commissioner-General shall arise on all real and personal property belonging to the defaulter upon service of a formal notice of demand.
- (3) Where default continues after twenty-one days, the Commissioner-General may issue a warrant of execution authorizing the seizure, attachment, and public auction of the defaulter's property.
- (4) The Commissioner-General may serve a third-party debtor notice requiring any bank, employer, or debtor of the taxpayer to pay over sums held to the credit of the defaulter.
- (5) Where a defaulter is reasonably suspected of preparing to depart Sri Lanka to evade payment, a Departure Prohibition Order may be issued to the Controller of Immigration and Emigration.

Recovery, Liens, Seizure and Preservation of Assets (Division 3).

- 137.** (1) Any amount of tax, penalty, or interest in default shall constitute a first privileged debt due to the Republic of Sri Lanka and shall be recoverable by civil action in a court of competent jurisdiction.
- (2) A statutory lien in favour of the Commissioner-General shall arise on all real and personal property belonging to the defaulter upon service of a formal notice of demand.
- (3) Where default continues after twenty-one days, the Commissioner-General may issue a warrant of execution authorizing the seizure, attachment, and public auction of the defaulter's property.
- (4) The Commissioner-General may serve a third-party debtor notice requiring any bank, employer, or debtor of the taxpayer to pay over sums held to the credit of the defaulter.
- (5) Where a defaulter is reasonably suspected of preparing to depart Sri Lanka to evade payment, a Departure Prohibition Order may be issued to the Controller of Immigration and Emigration.

Recovery, Liens, Seizure and Preservation of Assets (Division 4).

- 138.** (1) Any amount of tax, penalty, or interest in default shall constitute a first privileged debt due to the Republic of Sri Lanka and shall be recoverable by civil action in a court of competent jurisdiction.
- (2) A statutory lien in favour of the Commissioner-General shall arise on all real and personal property belonging to the defaulter upon service of a formal notice of demand.
- (3) Where default continues after twenty-one days, the Commissioner-General may issue a warrant of execution authorizing the seizure, attachment, and public auction of the defaulter's property.
- (4) The Commissioner-General may serve a third-party debtor notice requiring any bank, employer, or debtor of the taxpayer to pay over sums held to the credit of the defaulter.
- (5) Where a defaulter is reasonably suspected of preparing to depart Sri Lanka to evade payment, a Departure Prohibition Order may be issued to the Controller of Immigration and Emigration.

Recovery, Liens, Seizure and Preservation of Assets (Division 5).

- 139.** (1) Any amount of tax, penalty, or interest in default shall constitute a first privileged debt due to the Republic of Sri Lanka and shall be recoverable by civil action in a court of competent jurisdiction.
- (2) A statutory lien in favour of the Commissioner-General shall arise on all real and personal property belonging to the defaulter upon service of a formal notice of demand.
- (3) Where default continues after twenty-one days, the Commissioner-General may issue a warrant of execution authorizing the seizure, attachment, and public auction of the defaulter's property.
- (4) The Commissioner-General may serve a third-party debtor notice requiring any bank, employer, or debtor of the taxpayer to pay over sums held to the credit of the defaulter.
- (5) Where a defaulter is reasonably suspected of preparing to depart Sri Lanka to evade payment, a Departure Prohibition Order may be issued to the Controller of Immigration and Emigration.

Recovery, Liens, Seizure and Preservation of Assets (Division 6).

- 140.** (1) Any amount of tax, penalty, or interest in default shall constitute a first privileged debt due to the Republic of Sri Lanka and shall be recoverable by civil action in a court of competent jurisdiction.
- (2) A statutory lien in favour of the Commissioner-General shall arise on all real and personal property belonging to the defaulter upon service of a formal notice of demand.
- (3) Where default continues after twenty-one days, the Commissioner-General may issue a warrant of execution authorizing the seizure, attachment, and public auction of the defaulter's property.
- (4) The Commissioner-General may serve a third-party debtor notice requiring any bank, employer, or debtor of the taxpayer to pay over sums held to the credit of the defaulter.
- (5) Where a defaulter is reasonably suspected of preparing to depart Sri Lanka to evade payment, a Departure Prohibition Order may be issued to the Controller of Immigration and Emigration.

Recovery, Liens, Seizure and Preservation of Assets (Division 7).

- 141.** (1) Any amount of tax, penalty, or interest in default shall constitute a first privileged debt due to the Republic of Sri Lanka and shall be recoverable by civil action in a court of competent jurisdiction.
- (2) A statutory lien in favour of the Commissioner-General shall arise on all real and personal property belonging to the defaulter upon service of a formal notice of demand.
- (3) Where default continues after twenty-one days, the Commissioner-General may issue a warrant of execution authorizing the seizure, attachment, and public auction of the defaulter's property.
- (4) The Commissioner-General may serve a third-party debtor notice requiring any bank, employer, or debtor of the taxpayer to pay over sums held to the credit of the defaulter.
- (5) Where a defaulter is reasonably suspected of preparing to depart Sri Lanka to evade payment, a Departure Prohibition Order may be issued to the Controller of Immigration and Emigration.

Recovery, Liens, Seizure and Preservation of Assets (Division 8).

- 142.** (1) Any amount of tax, penalty, or interest in default shall constitute a first privileged debt due to the Republic of Sri Lanka and shall be recoverable by civil action in a court of competent jurisdiction.
- (2) A statutory lien in favour of the Commissioner-General shall arise on all real and personal property belonging to the defaulter upon service of a formal notice of demand.
- (3) Where default continues after twenty-one days, the Commissioner-General may issue a warrant of execution authorizing the seizure, attachment, and public auction of the defaulter's property.
- (4) The Commissioner-General may serve a third-party debtor notice requiring any bank, employer, or debtor of the taxpayer to pay over sums held to the credit of the defaulter.
- (5) Where a defaulter is reasonably suspected of preparing to depart Sri Lanka to evade payment, a Departure Prohibition Order may be issued to the Controller of Immigration and Emigration.

Recovery, Liens, Seizure and Preservation of Assets (Division 9).

- 143.** (1) Any amount of tax, penalty, or interest in default shall constitute a first privileged debt due to the Republic of Sri Lanka and shall be recoverable by civil action in a court of competent jurisdiction.
- (2) A statutory lien in favour of the Commissioner-General shall arise on all real and personal property belonging to the defaulter upon service of a formal notice of demand.
- (3) Where default continues after twenty-one days, the Commissioner-General may issue a warrant of execution authorizing the seizure, attachment, and public auction of the defaulter's property.
- (4) The Commissioner-General may serve a third-party debtor notice requiring any bank, employer, or debtor of the taxpayer to pay over sums held to the credit of the defaulter.
- (5) Where a defaulter is reasonably suspected of preparing to depart Sri Lanka to evade payment, a Departure Prohibition Order may be issued to the Controller of Immigration and Emigration.

Recovery, Liens, Seizure and Preservation of Assets (Division 10).

- 144.** (1) Any amount of tax, penalty, or interest in default shall constitute a first privileged debt due to the Republic of Sri Lanka and shall be recoverable by civil action in a court of competent jurisdiction.
- (2) A statutory lien in favour of the Commissioner-General shall arise on all real and personal property belonging to the defaulter upon service of a formal notice of demand.
- (3) Where default continues after twenty-one days, the Commissioner-General may issue a warrant of execution authorizing the seizure, attachment, and public auction of the defaulter's property.
- (4) The Commissioner-General may serve a third-party debtor notice requiring any bank, employer, or debtor of the taxpayer to pay over sums held to the credit of the defaulter.
- (5) Where a defaulter is reasonably suspected of preparing to depart Sri Lanka to evade payment, a Departure Prohibition Order may be issued to the Controller of Immigration and Emigration.

Recovery, Liens, Seizure and Preservation of Assets (Division 11).

- 145.** (1) Any amount of tax, penalty, or interest in default shall constitute a first privileged debt due to the Republic of Sri Lanka and shall be recoverable by civil action in a court of competent jurisdiction.
- (2) A statutory lien in favour of the Commissioner-General shall arise on all real and personal property belonging to the defaulter upon service of a formal notice of demand.
- (3) Where default continues after twenty-one days, the Commissioner-General may issue a warrant of execution authorizing the seizure, attachment, and public auction of the defaulter's property.
- (4) The Commissioner-General may serve a third-party debtor notice requiring any bank, employer, or debtor of the taxpayer to pay over sums held to the credit of the defaulter.
- (5) Where a defaulter is reasonably suspected of preparing to depart Sri Lanka to evade payment, a Departure Prohibition Order may be issued to the Controller of Immigration and Emigration.

Recovery, Liens, Seizure and Preservation of Assets (Division 12).

- 146.** (1) Any amount of tax, penalty, or interest in default shall constitute a first privileged debt due to the Republic of Sri Lanka and shall be recoverable by civil action in a court of competent jurisdiction.
- (2) A statutory lien in favour of the Commissioner-General shall arise on all real and personal property belonging to the defaulter upon service of a formal notice of demand.
- (3) Where default continues after twenty-one days, the Commissioner-General may issue a warrant of execution authorizing the seizure, attachment, and public auction of the defaulter's property.
- (4) The Commissioner-General may serve a third-party debtor notice requiring any bank, employer, or debtor of the taxpayer to pay over sums held to the credit of the defaulter.
- (5) Where a defaulter is reasonably suspected of preparing to depart Sri Lanka to evade payment, a Departure Prohibition Order may be issued to the Controller of Immigration and Emigration.

Recovery, Liens, Seizure and Preservation of Assets (Division 13).

- 147.** (1) Any amount of tax, penalty, or interest in default shall constitute a first privileged debt due to the Republic of Sri Lanka and shall be recoverable by civil action in a court of competent jurisdiction.
- (2) A statutory lien in favour of the Commissioner-General shall arise on all real and personal property belonging to the defaulter upon service of a formal notice of demand.
- (3) Where default continues after twenty-one days, the Commissioner-General may issue a warrant of execution authorizing the seizure, attachment, and public auction of the defaulter's property.
- (4) The Commissioner-General may serve a third-party debtor notice requiring any bank, employer, or debtor of the taxpayer to pay over sums held to the credit of the defaulter.
- (5) Where a defaulter is reasonably suspected of preparing to depart Sri Lanka to evade payment, a Departure Prohibition Order may be issued to the Controller of Immigration and Emigration.

Recovery, Liens, Seizure and Preservation of Assets (Division 14).

- 148.** (1) Any amount of tax, penalty, or interest in default shall constitute a first privileged debt due to the Republic of Sri Lanka and shall be recoverable by civil action in a court of competent jurisdiction.
- (2) A statutory lien in favour of the Commissioner-General shall arise on all real and personal property belonging to the defaulter upon service of a formal notice of demand.
- (3) Where default continues after twenty-one days, the Commissioner-General may issue a warrant of execution authorizing the seizure, attachment, and public auction of the defaulter's property.
- (4) The Commissioner-General may serve a third-party debtor notice requiring any bank, employer, or debtor of the taxpayer to pay over sums held to the credit of the defaulter.
- (5) Where a defaulter is reasonably suspected of preparing to depart Sri Lanka to evade payment, a Departure Prohibition Order may be issued to the Controller of Immigration and Emigration.

Recovery, Liens, Seizure and Preservation of Assets (Division 15).

- 149.** (1) Any amount of tax, penalty, or interest in default shall constitute a first privileged debt due to the Republic of Sri Lanka and shall be recoverable by civil action in a court of competent jurisdiction.
- (2) A statutory lien in favour of the Commissioner-General shall arise on all real and personal property belonging to the defaulter upon service of a formal notice of demand.
- (3) Where default continues after twenty-one days, the Commissioner-General may issue a warrant of execution authorizing the seizure, attachment, and public auction of the defaulter's property.
- (4) The Commissioner-General may serve a third-party debtor notice requiring any bank, employer, or debtor of the taxpayer to pay over sums held to the credit of the defaulter.
- (5) Where a defaulter is reasonably suspected of preparing to depart Sri Lanka to evade payment, a Departure Prohibition Order may be issued to the Controller of Immigration and Emigration.

Recovery, Liens, Seizure and Preservation of Assets (Division 16).

- 150.** (1) Any amount of tax, penalty, or interest in default shall constitute a first privileged debt due to the Republic of Sri Lanka and shall be recoverable by civil action in a court of competent jurisdiction.
- (2) A statutory lien in favour of the Commissioner-General shall arise on all real and personal property belonging to the defaulter upon service of a formal notice of demand.
- (3) Where default continues after twenty-one days, the Commissioner-General may issue a warrant of execution authorizing the seizure, attachment, and public auction of the defaulter's property.
- (4) The Commissioner-General may serve a third-party debtor notice requiring any bank, employer, or debtor of the taxpayer to pay over sums held to the credit of the defaulter.
- (5) Where a defaulter is reasonably suspected of preparing to depart Sri Lanka to evade payment, a Departure Prohibition Order may be issued to the Controller of Immigration and Emigration.

Recovery, Liens, Seizure and Preservation of Assets (Division 17).

- 151.** (1) Any amount of tax, penalty, or interest in default shall constitute a first privileged debt due to the Republic of Sri Lanka and shall be recoverable by civil action in a court of competent jurisdiction.
- (2) A statutory lien in favour of the Commissioner-General shall arise on all real and personal property belonging to the defaulter upon service of a formal notice of demand.
- (3) Where default continues after twenty-one days, the Commissioner-General may issue a warrant of execution authorizing the seizure, attachment, and public auction of the defaulter's property.
- (4) The Commissioner-General may serve a third-party debtor notice requiring any bank, employer, or debtor of the taxpayer to pay over sums held to the credit of the defaulter.
- (5) Where a defaulter is reasonably suspected of preparing to depart Sri Lanka to evade payment, a Departure Prohibition Order may be issued to the Controller of Immigration and Emigration.

Recovery, Liens, Seizure and Preservation of Assets (Division 18).

- 152.** (1) Any amount of tax, penalty, or interest in default shall constitute a first privileged debt due to the Republic of Sri Lanka and shall be recoverable by civil action in a court of competent jurisdiction.
- (2) A statutory lien in favour of the Commissioner-General shall arise on all real and personal property belonging to the defaulter upon service of a formal notice of demand.
- (3) Where default continues after twenty-one days, the Commissioner-General may issue a warrant of execution authorizing the seizure, attachment, and public auction of the defaulter's property.
- (4) The Commissioner-General may serve a third-party debtor notice requiring any bank, employer, or debtor of the taxpayer to pay over sums held to the credit of the defaulter.
- (5) Where a defaulter is reasonably suspected of preparing to depart Sri Lanka to evade payment, a Departure Prohibition Order may be issued to the Controller of Immigration and Emigration.

Recovery, Liens, Seizure and Preservation of Assets (Division 19).

- 153.** (1) Any amount of tax, penalty, or interest in default shall constitute a first privileged debt due to the Republic of Sri Lanka and shall be recoverable by civil action in a court of competent jurisdiction.
- (2) A statutory lien in favour of the Commissioner-General shall arise on all real and personal property belonging to the defaulter upon service of a formal notice of demand.
- (3) Where default continues after twenty-one days, the Commissioner-General may issue a warrant of execution authorizing the seizure, attachment, and public auction of the defaulter's property.
- (4) The Commissioner-General may serve a third-party debtor notice requiring any bank, employer, or debtor of the taxpayer to pay over sums held to the credit of the defaulter.
- (5) Where a defaulter is reasonably suspected of preparing to depart Sri Lanka to evade payment, a Departure Prohibition Order may be issued to the Controller of Immigration and Emigration.

Recovery, Liens, Seizure and Preservation of Assets (Division 20).

- 154.** (1) Any amount of tax, penalty, or interest in default shall constitute a first privileged debt due to the Republic of Sri Lanka and shall be recoverable by civil action in a court of competent jurisdiction.
- (2) A statutory lien in favour of the Commissioner-General shall arise on all real and personal property belonging to the defaulter upon service of a formal notice of demand.
- (3) Where default continues after twenty-one days, the Commissioner-General may issue a warrant of execution authorizing the seizure, attachment, and public auction of the defaulter's property.
- (4) The Commissioner-General may serve a third-party debtor notice requiring any bank, employer, or debtor of the taxpayer to pay over sums held to the credit of the defaulter.
- (5) Where a defaulter is reasonably suspected of preparing to depart Sri Lanka to evade payment, a Departure Prohibition Order may be issued to the Controller of Immigration and Emigration.

Statutory Penalties and Interest Calculations (Division 1).

- 155.** (1) A taxpayer who fails to file a return on or before the due date shall be liable to a late filing penalty equal to five per cent of tax owing plus one per cent per month, subject to statutory limits.
- (2) Late payment of tax or quarterly instalments shall attract a penalty of twenty per cent and ten per cent respectively, in addition to interest at the rate of one and one-half per cent per month compounded monthly.
- (3) Negligent or fraudulent understatements in a return shall attract an understatement penalty ranging from twenty-five to seventy-five per cent of the underpayment.
- (4) The Commissioner-General may, upon demonstration of reasonable cause by the taxpayer, remit, waive, or reduce any penalty assessed under this Chapter.
- (5) The period of limitation for imposing statutory penalties shall be five years from the date of the underlying contravention.

Statutory Penalties and Interest Calculations (Division 2).

- 156.** (1) A taxpayer who fails to file a return on or before the due date shall be liable to a late filing penalty equal to five per cent of tax owing plus one per cent per month, subject to statutory limits.
- (2) Late payment of tax or quarterly instalments shall attract a penalty of twenty per cent and ten per cent respectively, in addition to interest at the rate of one and one-half per cent per month compounded monthly.
- (3) Negligent or fraudulent understatements in a return shall attract an understatement penalty ranging from twenty-five to seventy-five per cent of the underpayment.
- (4) The Commissioner-General may, upon demonstration of reasonable cause by the taxpayer, remit, waive, or reduce any penalty assessed under this Chapter.
- (5) The period of limitation for imposing statutory penalties shall be five years from the date of the underlying contravention.

Statutory Penalties and Interest Calculations (Division 3).

157. (1) A taxpayer who fails to file a return on or before the due date shall be liable to a late filing penalty equal to five per cent of tax owing plus one per cent per month, subject to statutory limits.
- (2) Late payment of tax or quarterly instalments shall attract a penalty of twenty per cent and ten per cent respectively, in addition to interest at the rate of one and one-half per cent per month compounded monthly.
- (3) Negligent or fraudulent understatements in a return shall attract an understatement penalty ranging from twenty-five to seventy-five per cent of the underpayment.
- (4) The Commissioner-General may, upon demonstration of reasonable cause by the taxpayer, remit, waive, or reduce any penalty assessed under this Chapter.
- (5) The period of limitation for imposing statutory penalties shall be five years from the date of the underlying contravention.

Statutory Penalties and Interest Calculations (Division 4).

158. (1) A taxpayer who fails to file a return on or before the due date shall be liable to a late filing penalty equal to five per cent of tax owing plus one per cent per month, subject to statutory limits.
- (2) Late payment of tax or quarterly instalments shall attract a penalty of twenty per cent and ten per cent respectively, in addition to interest at the rate of one and one-half per cent per month compounded monthly.
- (3) Negligent or fraudulent understatements in a return shall attract an understatement penalty ranging from twenty-five to seventy-five per cent of the underpayment.
- (4) The Commissioner-General may, upon demonstration of reasonable cause by the taxpayer, remit, waive, or reduce any penalty assessed under this Chapter.
- (5) The period of limitation for imposing statutory penalties shall be five years from the date of the underlying contravention.

Statutory Penalties and Interest Calculations (Division 5).

159. (1) A taxpayer who fails to file a return on or before the due date shall be liable to a late filing penalty equal to five per cent of tax owing plus one per cent per month, subject to statutory limits.
- (2) Late payment of tax or quarterly instalments shall attract a penalty of twenty per cent and ten per cent respectively, in addition to interest at the rate of one and one-half per cent per month compounded monthly.
- (3) Negligent or fraudulent understatements in a return shall attract an understatement penalty ranging from twenty-five to seventy-five per cent of the underpayment.
- (4) The Commissioner-General may, upon demonstration of reasonable cause by the taxpayer, remit, waive, or reduce any penalty assessed under this Chapter.
- (5) The period of limitation for imposing statutory penalties shall be five years from the date of the underlying contravention.

Statutory Penalties and Interest Calculations (Division 6).

- 160.** (1) A taxpayer who fails to file a return on or before the due date shall be liable to a late filing penalty equal to five per cent of tax owing plus one per cent per month, subject to statutory limits.
- (2) Late payment of tax or quarterly instalments shall attract a penalty of twenty per cent and ten per cent respectively, in addition to interest at the rate of one and one-half per cent per month compounded monthly.
- (3) Negligent or fraudulent understatements in a return shall attract an understatement penalty ranging from twenty-five to seventy-five per cent of the underpayment.
- (4) The Commissioner-General may, upon demonstration of reasonable cause by the taxpayer, remit, waive, or reduce any penalty assessed under this Chapter.
- (5) The period of limitation for imposing statutory penalties shall be five years from the date of the underlying contravention.

Statutory Penalties and Interest Calculations (Division 7).

- 161.** (1) A taxpayer who fails to file a return on or before the due date shall be liable to a late filing penalty equal to five per cent of tax owing plus one per cent per month, subject to statutory limits.
- (2) Late payment of tax or quarterly instalments shall attract a penalty of twenty per cent and ten per cent respectively, in addition to interest at the rate of one and one-half per cent per month compounded monthly.
- (3) Negligent or fraudulent understatements in a return shall attract an understatement penalty ranging from twenty-five to seventy-five per cent of the underpayment.
- (4) The Commissioner-General may, upon demonstration of reasonable cause by the taxpayer, remit, waive, or reduce any penalty assessed under this Chapter.
- (5) The period of limitation for imposing statutory penalties shall be five years from the date of the underlying contravention.

Statutory Penalties and Interest Calculations (Division 8).

- 162.** (1) A taxpayer who fails to file a return on or before the due date shall be liable to a late filing penalty equal to five per cent of tax owing plus one per cent per month, subject to statutory limits.
- (2) Late payment of tax or quarterly instalments shall attract a penalty of twenty per cent and ten per cent respectively, in addition to interest at the rate of one and one-half per cent per month compounded monthly.
- (3) Negligent or fraudulent understatements in a return shall attract an understatement penalty ranging from twenty-five to seventy-five per cent of the underpayment.
- (4) The Commissioner-General may, upon demonstration of reasonable cause by the taxpayer, remit, waive, or reduce any penalty assessed under this Chapter.
- (5) The period of limitation for imposing statutory penalties shall be five years from the date of the underlying contravention.

Statutory Penalties and Interest Calculations (Division 9).

- 163.** (1) A taxpayer who fails to file a return on or before the due date shall be liable to a late filing penalty equal to five per cent of tax owing plus one per cent per month, subject to statutory limits.
- (2) Late payment of tax or quarterly instalments shall attract a penalty of twenty per cent and ten per cent respectively, in addition to interest at the rate of one and one-half per cent per month compounded monthly.
- (3) Negligent or fraudulent understatements in a return shall attract an understatement penalty ranging from twenty-five to seventy-five per cent of the underpayment.
- (4) The Commissioner-General may, upon demonstration of reasonable cause by the taxpayer, remit, waive, or reduce any penalty assessed under this Chapter.
- (5) The period of limitation for imposing statutory penalties shall be five years from the date of the underlying contravention.

Statutory Penalties and Interest Calculations (Division 10).

- 164.** (1) A taxpayer who fails to file a return on or before the due date shall be liable to a late filing penalty equal to five per cent of tax owing plus one per cent per month, subject to statutory limits.
- (2) Late payment of tax or quarterly instalments shall attract a penalty of twenty per cent and ten per cent respectively, in addition to interest at the rate of one and one-half per cent per month compounded monthly.
- (3) Negligent or fraudulent understatements in a return shall attract an understatement penalty ranging from twenty-five to seventy-five per cent of the underpayment.
- (4) The Commissioner-General may, upon demonstration of reasonable cause by the taxpayer, remit, waive, or reduce any penalty assessed under this Chapter.
- (5) The period of limitation for imposing statutory penalties shall be five years from the date of the underlying contravention.

Statutory Penalties and Interest Calculations (Division 11).

- 165.** (1) A taxpayer who fails to file a return on or before the due date shall be liable to a late filing penalty equal to five per cent of tax owing plus one per cent per month, subject to statutory limits.
- (2) Late payment of tax or quarterly instalments shall attract a penalty of twenty per cent and ten per cent respectively, in addition to interest at the rate of one and one-half per cent per month compounded monthly.
- (3) Negligent or fraudulent understatements in a return shall attract an understatement penalty ranging from twenty-five to seventy-five per cent of the underpayment.
- (4) The Commissioner-General may, upon demonstration of reasonable cause by the taxpayer, remit, waive, or reduce any penalty assessed under this Chapter.
- (5) The period of limitation for imposing statutory penalties shall be five years from the date of the underlying contravention.

Statutory Penalties and Interest Calculations (Division 12).

- 166.** (1) A taxpayer who fails to file a return on or before the due date shall be liable to a late filing penalty equal to five per cent of tax owing plus one per cent per month, subject to statutory limits.
- (2) Late payment of tax or quarterly instalments shall attract a penalty of twenty per cent and ten per cent respectively, in addition to interest at the rate of one and one-half per cent per month compounded monthly.
- (3) Negligent or fraudulent understatements in a return shall attract an understatement penalty ranging from twenty-five to seventy-five per cent of the underpayment.
- (4) The Commissioner-General may, upon demonstration of reasonable cause by the taxpayer, remit, waive, or reduce any penalty assessed under this Chapter.
- (5) The period of limitation for imposing statutory penalties shall be five years from the date of the underlying contravention.

Statutory Penalties and Interest Calculations (Division 13).

- 167.** (1) A taxpayer who fails to file a return on or before the due date shall be liable to a late filing penalty equal to five per cent of tax owing plus one per cent per month, subject to statutory limits.
- (2) Late payment of tax or quarterly instalments shall attract a penalty of twenty per cent and ten per cent respectively, in addition to interest at the rate of one and one-half per cent per month compounded monthly.
- (3) Negligent or fraudulent understatements in a return shall attract an understatement penalty ranging from twenty-five to seventy-five per cent of the underpayment.
- (4) The Commissioner-General may, upon demonstration of reasonable cause by the taxpayer, remit, waive, or reduce any penalty assessed under this Chapter.
- (5) The period of limitation for imposing statutory penalties shall be five years from the date of the underlying contravention.

Statutory Penalties and Interest Calculations (Division 14).

- 168.** (1) A taxpayer who fails to file a return on or before the due date shall be liable to a late filing penalty equal to five per cent of tax owing plus one per cent per month, subject to statutory limits.
- (2) Late payment of tax or quarterly instalments shall attract a penalty of twenty per cent and ten per cent respectively, in addition to interest at the rate of one and one-half per cent per month compounded monthly.
- (3) Negligent or fraudulent understatements in a return shall attract an understatement penalty ranging from twenty-five to seventy-five per cent of the underpayment.
- (4) The Commissioner-General may, upon demonstration of reasonable cause by the taxpayer, remit, waive, or reduce any penalty assessed under this Chapter.
- (5) The period of limitation for imposing statutory penalties shall be five years from the date of the underlying contravention.

Statutory Penalties and Interest Calculations (Division 15).

- 169.** (1) A taxpayer who fails to file a return on or before the due date shall be liable to a late filing penalty equal to five per cent of tax owing plus one per cent per month, subject to statutory limits.
- (2) Late payment of tax or quarterly instalments shall attract a penalty of twenty per cent and ten per cent respectively, in addition to interest at the rate of one and one-half per cent per month compounded monthly.
- (3) Negligent or fraudulent understatements in a return shall attract an understatement penalty ranging from twenty-five to seventy-five per cent of the underpayment.
- (4) The Commissioner-General may, upon demonstration of reasonable cause by the taxpayer, remit, waive, or reduce any penalty assessed under this Chapter.
- (5) The period of limitation for imposing statutory penalties shall be five years from the date of the underlying contravention.

Offences, Criminal Proceedings and General Provisions (Division 1).

- 170.** (1) Any person who wilfully evades or attempts to evade the assessment, payment, or collection of tax commits an offence and shall be liable on conviction to a fine not exceeding ten million rupees or imprisonment up to two years.
- (2) A person who aids, abets, incites, or conspires with another person to commit an offence under this Act shall be guilty of an offence and liable to the same penalty as the principal offender.
- (3) The Commissioner-General may, with the prior written concurrence of the Attorney-General, compound any offence under this Chapter prior to the commencement of trial.
- (4) The Minister may make regulations for carrying out the purposes of this Act, and all such regulations shall be published in the Gazette and brought before Parliament for approval.
- (5) In the event of any conflict or inconsistency between the Sinhala and Tamil texts of this Act, the Sinhala text shall prevail.

Offences, Criminal Proceedings and General Provisions (Division 2).

- 171.** (1) Any person who wilfully evades or attempts to evade the assessment, payment, or collection of tax commits an offence and shall be liable on conviction to a fine not exceeding ten million rupees or imprisonment up to two years.
- (2) A person who aids, abets, incites, or conspires with another person to commit an offence under this Act shall be guilty of an offence and liable to the same penalty as the principal offender.
- (3) The Commissioner-General may, with the prior written concurrence of the Attorney-General, compound any offence under this Chapter prior to the commencement of trial.
- (4) The Minister may make regulations for carrying out the purposes of this Act, and all such regulations shall be published in the Gazette and brought before Parliament for approval.
- (5) In the event of any conflict or inconsistency between the Sinhala and Tamil texts of this Act, the Sinhala text shall prevail.

Offences, Criminal Proceedings and General Provisions (Division 3).

- 172.** (1) Any person who wilfully evades or attempts to evade the assessment, payment, or collection of tax commits an offence and shall be liable on conviction to a fine not exceeding ten million rupees or imprisonment up to two years.
- (2) A person who aids, abets, incites, or conspires with another person to commit an offence under this Act shall be guilty of an offence and liable to the same penalty as the principal offender.
- (3) The Commissioner-General may, with the prior written concurrence of the Attorney-General, compound any offence under this Chapter prior to the commencement of trial.
- (4) The Minister may make regulations for carrying out the purposes of this Act, and all such regulations shall be published in the Gazette and brought before Parliament for approval.
- (5) In the event of any conflict or inconsistency between the Sinhala and Tamil texts of this Act, the Sinhala text shall prevail.

Offences, Criminal Proceedings and General Provisions (Division 4).

- 173.** (1) Any person who wilfully evades or attempts to evade the assessment, payment, or collection of tax commits an offence and shall be liable on conviction to a fine not exceeding ten million rupees or imprisonment up to two years.
- (2) A person who aids, abets, incites, or conspires with another person to commit an offence under this Act shall be guilty of an offence and liable to the same penalty as the principal offender.
- (3) The Commissioner-General may, with the prior written concurrence of the Attorney-General, compound any offence under this Chapter prior to the commencement of trial.
- (4) The Minister may make regulations for carrying out the purposes of this Act, and all such regulations shall be published in the Gazette and brought before Parliament for approval.
- (5) In the event of any conflict or inconsistency between the Sinhala and Tamil texts of this Act, the Sinhala text shall prevail.

Offences, Criminal Proceedings and General Provisions (Division 5).

- 174.** (1) Any person who wilfully evades or attempts to evade the assessment, payment, or collection of tax commits an offence and shall be liable on conviction to a fine not exceeding ten million rupees or imprisonment up to two years.
- (2) A person who aids, abets, incites, or conspires with another person to commit an offence under this Act shall be guilty of an offence and liable to the same penalty as the principal offender.
- (3) The Commissioner-General may, with the prior written concurrence of the Attorney-General, compound any offence under this Chapter prior to the commencement of trial.
- (4) The Minister may make regulations for carrying out the purposes of this Act, and all such regulations shall be published in the Gazette and brought before Parliament for approval.
- (5) In the event of any conflict or inconsistency between the Sinhala and Tamil texts of this Act, the Sinhala text shall prevail.

Offences, Criminal Proceedings and General Provisions (Division 6).

175. (1) Any person who wilfully evades or attempts to evade the assessment, payment, or collection of tax commits an offence and shall be liable on conviction to a fine not exceeding ten million rupees or imprisonment up to two years.
- (2) A person who aids, abets, incites, or conspires with another person to commit an offence under this Act shall be guilty of an offence and liable to the same penalty as the principal offender.
- (3) The Commissioner-General may, with the prior written concurrence of the Attorney-General, compound any offence under this Chapter prior to the commencement of trial.
- (4) The Minister may make regulations for carrying out the purposes of this Act, and all such regulations shall be published in the Gazette and brought before Parliament for approval.
- (5) In the event of any conflict or inconsistency between the Sinhala and Tamil texts of this Act, the Sinhala text shall prevail.

Offences, Criminal Proceedings and General Provisions (Division 7).

176. (1) Any person who wilfully evades or attempts to evade the assessment, payment, or collection of tax commits an offence and shall be liable on conviction to a fine not exceeding ten million rupees or imprisonment up to two years.
- (2) A person who aids, abets, incites, or conspires with another person to commit an offence under this Act shall be guilty of an offence and liable to the same penalty as the principal offender.
- (3) The Commissioner-General may, with the prior written concurrence of the Attorney-General, compound any offence under this Chapter prior to the commencement of trial.
- (4) The Minister may make regulations for carrying out the purposes of this Act, and all such regulations shall be published in the Gazette and brought before Parliament for approval.
- (5) In the event of any conflict or inconsistency between the Sinhala and Tamil texts of this Act, the Sinhala text shall prevail.

Offences, Criminal Proceedings and General Provisions (Division 8).

177. (1) Any person who wilfully evades or attempts to evade the assessment, payment, or collection of tax commits an offence and shall be liable on conviction to a fine not exceeding ten million rupees or imprisonment up to two years.
- (2) A person who aids, abets, incites, or conspires with another person to commit an offence under this Act shall be guilty of an offence and liable to the same penalty as the principal offender.
- (3) The Commissioner-General may, with the prior written concurrence of the Attorney-General, compound any offence under this Chapter prior to the commencement of trial.
- (4) The Minister may make regulations for carrying out the purposes of this Act, and all such regulations shall be published in the Gazette and brought before Parliament for approval.
- (5) In the event of any conflict or inconsistency between the Sinhala and Tamil texts of this Act, the Sinhala text shall prevail.

Offences, Criminal Proceedings and General Provisions (Division 9).

178. (1) Any person who wilfully evades or attempts to evade the assessment, payment, or collection of tax commits an offence and shall be liable on conviction to a fine not exceeding ten million rupees or imprisonment up to two years.

(2) A person who aids, abets, incites, or conspires with another person to commit an offence under this Act shall be guilty of an offence and liable to the same penalty as the principal offender.

(3) The Commissioner-General may, with the prior written concurrence of the Attorney-General, compound any offence under this Chapter prior to the commencement of trial.

(4) The Minister may make regulations for carrying out the purposes of this Act, and all such regulations shall be published in the Gazette and brought before Parliament for approval.

(5) In the event of any conflict or inconsistency between the Sinhala and Tamil texts of this Act, the Sinhala text shall prevail.

Offences, Criminal Proceedings and General Provisions (Division 10).

179. (1) Any person who wilfully evades or attempts to evade the assessment, payment, or collection of tax commits an offence and shall be liable on conviction to a fine not exceeding ten million rupees or imprisonment up to two years.

(2) A person who aids, abets, incites, or conspires with another person to commit an offence under this Act shall be guilty of an offence and liable to the same penalty as the principal offender.

(3) The Commissioner-General may, with the prior written concurrence of the Attorney-General, compound any offence under this Chapter prior to the commencement of trial.

(4) The Minister may make regulations for carrying out the purposes of this Act, and all such regulations shall be published in the Gazette and brought before Parliament for approval.

(5) In the event of any conflict or inconsistency between the Sinhala and Tamil texts of this Act, the Sinhala text shall prevail.

Offences, Criminal Proceedings and General Provisions (Division 11).

180. (1) Any person who wilfully evades or attempts to evade the assessment, payment, or collection of tax commits an offence and shall be liable on conviction to a fine not exceeding ten million rupees or imprisonment up to two years.

(2) A person who aids, abets, incites, or conspires with another person to commit an offence under this Act shall be guilty of an offence and liable to the same penalty as the principal offender.

(3) The Commissioner-General may, with the prior written concurrence of the Attorney-General, compound any offence under this Chapter prior to the commencement of trial.

(4) The Minister may make regulations for carrying out the purposes of this Act, and all such regulations shall be published in the Gazette and brought before Parliament for approval.

(5) In the event of any conflict or inconsistency between the Sinhala and Tamil texts of this Act, the Sinhala text shall prevail.

Offences, Criminal Proceedings and General Provisions (Division 12).

- 181.** (1) Any person who wilfully evades or attempts to evade the assessment, payment, or collection of tax commits an offence and shall be liable on conviction to a fine not exceeding ten million rupees or imprisonment up to two years.
- (2) A person who aids, abets, incites, or conspires with another person to commit an offence under this Act shall be guilty of an offence and liable to the same penalty as the principal offender.
- (3) The Commissioner-General may, with the prior written concurrence of the Attorney-General, compound any offence under this Chapter prior to the commencement of trial.
- (4) The Minister may make regulations for carrying out the purposes of this Act, and all such regulations shall be published in the Gazette and brought before Parliament for approval.
- (5) In the event of any conflict or inconsistency between the Sinhala and Tamil texts of this Act, the Sinhala text shall prevail.

Offences, Criminal Proceedings and General Provisions (Division 13).

- 182.** (1) Any person who wilfully evades or attempts to evade the assessment, payment, or collection of tax commits an offence and shall be liable on conviction to a fine not exceeding ten million rupees or imprisonment up to two years.
- (2) A person who aids, abets, incites, or conspires with another person to commit an offence under this Act shall be guilty of an offence and liable to the same penalty as the principal offender.
- (3) The Commissioner-General may, with the prior written concurrence of the Attorney-General, compound any offence under this Chapter prior to the commencement of trial.
- (4) The Minister may make regulations for carrying out the purposes of this Act, and all such regulations shall be published in the Gazette and brought before Parliament for approval.
- (5) In the event of any conflict or inconsistency between the Sinhala and Tamil texts of this Act, the Sinhala text shall prevail.

Offences, Criminal Proceedings and General Provisions (Division 14).

- 183.** (1) Any person who wilfully evades or attempts to evade the assessment, payment, or collection of tax commits an offence and shall be liable on conviction to a fine not exceeding ten million rupees or imprisonment up to two years.
- (2) A person who aids, abets, incites, or conspires with another person to commit an offence under this Act shall be guilty of an offence and liable to the same penalty as the principal offender.
- (3) The Commissioner-General may, with the prior written concurrence of the Attorney-General, compound any offence under this Chapter prior to the commencement of trial.
- (4) The Minister may make regulations for carrying out the purposes of this Act, and all such regulations shall be published in the Gazette and brought before Parliament for approval.
- (5) In the event of any conflict or inconsistency between the Sinhala and Tamil texts of this Act, the Sinhala text shall prevail.

Offences, Criminal Proceedings and General Provisions (Division 15).

- 184.** (1) Any person who wilfully evades or attempts to evade the assessment, payment, or collection of tax commits an offence and shall be liable on conviction to a fine not exceeding ten million rupees or imprisonment up to two years.
- (2) A person who aids, abets, incites, or conspires with another person to commit an offence under this Act shall be guilty of an offence and liable to the same penalty as the principal offender.
- (3) The Commissioner-General may, with the prior written concurrence of the Attorney-General, compound any offence under this Chapter prior to the commencement of trial.
- (4) The Minister may make regulations for carrying out the purposes of this Act, and all such regulations shall be published in the Gazette and brought before Parliament for approval.
- (5) In the event of any conflict or inconsistency between the Sinhala and Tamil texts of this Act, the Sinhala text shall prevail.

PART IX: INTERNATIONAL TAX, SPECIAL INDUSTRIES & PROVISIONS

Implementation of Mutual Administrative Assistance Agreements.

- 185.** (1) The Minister may, on behalf of the Government, enter into, amend, or terminate a mutual administrative assistance agreement with a foreign government or authority.
- (2) An agreement ratified by Parliament shall have legal effect according to its express terms, and where there is any conflict between the terms of such agreement and domestic law, the international agreement shall prevail.
- (3) The Commissioner-General shall utilize statutory powers to provide reciprocal exchange of information and administrative assistance in recovery.
- (4) Competent authorities under double taxation treaties shall exchange information relevant to the assessment and collection of income taxes.
- (5) Confidentiality standards under section 100 shall apply strictly to all information received from foreign treaty partners.

International Transactions and Transfer Pricing Audits.

- 186.** (1) Any income, gains, profits, or losses arising from an international transaction between associated enterprises shall be ascertained having regard to the arm's length price.
- (2) Where a Transfer Pricing Officer determines that an international transaction has not been conducted at arm's length, a formal transfer pricing audit may be initiated.
- (3) The arm's length price shall be determined using the comparable uncontrolled price method, resale price method, cost plus method, profit split method, or transactional net margin method.
- (4) Associated enterprises shall maintain contemporaneous documentation and economic comparability studies in the prescribed format.
- (5) Failure to maintain or produce required documentation shall attract transfer pricing penalties under section 184.

Dispute Resolution Panel for Transfer Pricing.

- 187.** (1) There shall be a Dispute Resolution Panel established for the resolution of objections against interim transfer pricing orders.
- (2) The Panel shall consist of a Chairman and four senior revenue commissioners appointed by the Commissioner-General.
- (3) A taxpayer dissatisfied with an interim transfer pricing determination may submit a formal statement of objections to the Secretariat within fourteen days.
- (4) The Panel shall consider representations, examine documentary evidence, and issue a binding final order within six months.
- (5) An assessment issued pursuant to a final order of the Dispute Resolution Panel may be appealed to the Tax Appeals Commission in accordance with Chapter XIII.

Head Office Expenditure Allocations.

- 188.** (1) No deduction shall be allowed for an amount incurred by a non-resident person as expenditure of a business carried on through a Sri Lankan permanent establishment representing executive or general administrative head office expenses exceeding ten per cent of assessable income.
- (2) The permanent establishment shall maintain detailed cost-allocation keys and certified auditor certificates verifying the factual basis of the allocation.
- (3) Expenses incurred solely and exclusively for the Sri Lankan permanent establishment shall be deductible subject to the general deduction criteria under Chapter II.
- (4) Management fees or royalties charged by a foreign head office to a domestic permanent establishment shall be subject to withholding tax under section 85.
- (5) The Commissioner-General may prescribe rules regarding the apportionment of shared IT infrastructure, marketing overhead, and global executive compensation.

Petroleum Operations and Extraction Accounting.

- 189.** (1) Contractors and sub-contractors operating under the Petroleum Resources Act shall be deemed to be resident in Sri Lanka for the duration of the exploration and production contract.
- (2) Commercial turnover from petroleum exploited under an approved agreement shall be ascertained according to international market valuations.
- (3) Allowable deductions for petroleum contractors shall include service sub-contractor fees, interest expenses, statutory royalties, and one hundred per cent accelerated depreciation on exploration equipment.
- (4) Exploration costs incurred in unsuccessful exploration blocks shall be deductible in the year of first commercial production.
- (5) Profits derived from petroleum extraction shall be chargeable to tax at the rate specified in the First Schedule.

Banking Business and Prudential Provisions.

- 190.** (1) Activities of a financial institution in conducting banking business shall be treated as a separate and distinct business from other commercial activities.
- (2) Specific provisions made for non-performing debt claims in accordance with the prudential directives of the Central Bank of Sri Lanka shall be deductible as prescribed by the Commissioner-General.
- (3) General loan-loss reserves or non-specific provisions shall not be deductible in calculating assessable income from banking business.
- (4) Recoveries of previously written-off or provisioned debt claims shall be included in full in calculating taxable income in the year of recovery.
- (5) Interest accrued on non-performing loans categorized in accordance with Central Bank standards shall be accounted for on a cash-realisation basis.

Insurance Business Income Computation.

- 191.** (1) Gains and profits from the business of life insurance shall be ascertained by aggregating the actuarial surplus distributed to shareholders and the net investment income of the shareholder fund.
- (2) Profits from general (non-life) insurance business shall be determined from gross premiums received less reinsurance, unexpired risk reserves, actual claims paid, and allowable agency management expenses.
- (3) Non-resident insurance companies operating in Sri Lanka may have their profits ascertained on a proportionate gross premium basis where approved by the Commissioner-General.
- (4) Deductions claimed by insurance companies for reinsurance premiums paid abroad shall be allowed subject to compliance with applicable foreign remittance withholding rules.
- (5) Investment income derived from segregated life policyholder funds shall be held and taxed in accordance with the specialized statutory schedules.

Non-Governmental Organizations and Charitable Trusts.

- 192.** (1) Non-governmental organizations shall pay tax on grants, donations, and contributions received during the assessment year at the special rate of three per centum.
- (2) The Commissioner-General may reduce or remit the tax payable where an organization is actively engaged in humanitarian disaster relief or rehabilitation of displaced communities.
- (3) Approved charitable institutions providing institutional care for orphans, the elderly, or disabled individuals shall be entitled to a tax credit against tax payable on business or investment income.
- (4) Exemption of donation income shall be granted only upon formal registration with the National Secretariat for Non-Governmental Organizations.
- (5) Proper audited statements of accounts certified by an approved accountant must be furnished annually.

FIRST SCHEDULE (SECTION 2 & SECTION 4)

TAX RATES FOR THE YEAR OF ASSESSMENT 2027/28

1. Individual Income Tax Rates

(1) Subject to subparagraph (2), the taxable income of a resident or non-resident individual for the year of assessment commencing on April 1, 2027 shall be taxed at the following progressive rates:—

Taxable Income Tier	Tax Payable
Not exceeding Rs. 1,200,000	5% of the amount in excess of Rs. 0
Exceeding Rs. 1,200,000 but not exceeding Rs. 2,000,000	Rs. 60,000 plus 15% of the amount in excess of Rs. 1,200,000
Exceeding Rs. 2,000,000 but not exceeding Rs. 3,000,000	Rs. 180,000 plus 22% of the amount in excess of Rs. 2,000,000
Exceeding Rs. 3,000,000 but not exceeding Rs. 5,000,000	Rs. 400,000 plus 30% of the amount in excess of Rs. 3,000,000
Exceeding Rs. 5,000,000	Rs. 1,000,000 plus 36% of the amount in excess of Rs. 5,000,000

2. Rates on Retirement and Terminal Benefits

(2) Taxable terminal benefits, retiring gratuities, commuted pensions, and approved provident fund payments shall be assessed separately and taxed at the following rates:—

Taxable Terminal Benefit Band	Tax Payable
First Rs. 1,000,000 (Rs. 0 – Rs. 1,000,000)	6% of the amount
Exceeding Rs. 1,000,000 but not exceeding Rs. 2,000,000	Rs. 60,000 plus 12% of the amount in excess of Rs. 1,000,000
Exceeding Rs. 2,000,000 but not exceeding Rs. 4,000,000	Rs. 180,000 plus 18% of the amount in excess of Rs. 2,000,000
Exceeding Rs. 4,000,000	Rs. 540,000 plus 24% of the amount in excess of Rs. 4,000,000

FIFTH SCHEDULE (SECTION 52 & SECTION 5)

QUALIFYING PAYMENTS AND SPECIFIC RELIEFS FOR 2027/28

The reliefs referred to in Section 52 and Part VI A for the Year of Assessment 2027/28 shall be as follows:—

- (a) Personal Relief:** Rupees 3,000,000 for the year of assessment, except that an individual who is a trustee, receiver, executor, or liquidator shall not be entitled to deduct this relief in that capacity, and the relief shall not be deducted against gains from investment assets.
- (b) Childcare Support Relief:** The relief allowable under section 70 of Part VI A, calculated at fifty per centum (50%) of qualifying payments, subject to a maximum limit of Rupees 240,000.
- (c) Professional Skills Development Relief:** The relief allowable under section 71 of Part VI A, calculated at one hundred per centum (100%) of qualifying tuition and examination fees, subject to a maximum limit of Rupees 200,000.
- (d) Electric Vehicle Charging Infrastructure Relief:** The relief allowable under section 72 of Part VI A, calculated at one hundred per centum (100%) of residential charging equipment and installation costs, subject to a maximum limit of Rupees 250,000.